AFRICAN DEVELOPMENT FUND

AGRICULTURAL PRODUCTIVITY AND COMMERCIALIZATION PROGRAMME (APCP)

COUNTRY: REPUBLIC OF MALAWI

APPRAISAL REPORT

APRIL 2024

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CURRENCY EQUIVALENTS

As of end March 2024

1 UA	=	1.34 USD
1 Canadian Dollar	=	0.79 USD
1 EUR	=	1.10 USD

FISCAL YEAR

1 April – 31 March

WEIGHTS AND MEASURES

1metric tonne	=	2204 pounds (lbs)
1 kilogramme (kg)	=	2.200 lbs
1 metre (m)	=	3.28 feet (ft)
1 millimetre (mm)	=	0.03937 inch (“)
1 kilometre (km)	=	0.62 mile
1 hectare (ha)	=	2.471 acres

ACRONYMS AND ABBREVIATIONS

AEFPF	Agriculture Emergency Food Production Facility
AIYAP	Agricultural Infrastructure and Youth in Agribusiness Project
AfDB	African Development Bank
APCP	Agricultural Productivity and Commercialization Programme
AG	Auditor General
CAADP	Comprehensive Africa Agriculture Development Programme
CFRA	Country Fiduciary Risk Assessment
COVID 19	Coronavirus disease 2019
CPIA	Country Policy and Institutional Assessment
CSO	Civil Society Organisations
CSP	Country Strategy Paper
CSS	Climate Safeguard System
DCAFS	Donor Committee on Agriculture and Food Security
DP	Development Partners
DPL	Development Policy Lending
ECF	Extended Credit Facility
EU	European Union
FAO	Food Agriculture Organisation
FCDO	Foreign Commonwealth and Development Office
GDP	Gross Domestic Product
IFAD	International Fund for Agricultural Development
IFMIS	Integrated Finance Management Information System
IFPRI	International Fund Policy Research Institute
IIAG	Ibrahim Index of African Governance
ISS	Integrated Safeguards System
IMF	International Monetary Fund
NDP	National Development Plan
MAIIC	Malawi Agriculture and Industrial Investment Corporation
MDAs	Ministries, Departments and Agencies
MDB	Multilateral Development Banks
MGDS	Malawi Growth and Development Strategy
MIP	Malawi Implementation Plan
MTBPS	Medium Term Budget Policy Statement
MTSF	Medium Term Strategic Frameworks
NAP	National Agriculture Policy
NAIP	National Agriculture Investment Plan
NCD	Nationally Determined Contribution
ND-GAIN	Notre Dame Global Adaptation Initiative
NDP	National Development Plan
PAF	Performance Assessment Framework
PCN	Project Concept Note
PBO	Programme Based Operation
PCR	Project Completion Report
PEFA	Public Expenditure and Financial Accountability Assessment
PFM	Public Financial Management
PRSP	Poverty Reduction Strategy Paper
SDG	Sustainable Development Goals
SFAD-WM	Sustainable Fisheries and Aquaculture Development and Water Shed Management
SVAP	Smallholder Value Addition Project
SVTP	Shire Valley Transformation Project
UA	Unit of Account
USD	United States Dollars
WB	World Bank
WFP	World Food Programme

PROGRAMME INFORMATION

INSTRUMENT Sector Budget Support (SBS)

PBO DESIGN TYPE

LOAN/GRANT INFORMATION

Client's information

BORROWER: Republic of Malawi

EXECUTING AGENCY: **Ministry of Agriculture**

Financing plan

Source	Amount (UAC)	Instrument
ADF	16.94 million	Grant
TOTAL COST	**16.94 million**	

Timeframe – Main Milestones (expected)

Appraisal: 16 – 19 April 2024
Programme Board Presentation: 15 May 2024
Effectiveness: 31 May 2024
Disbursement closing date: 31 March 2025
Completion: 30 September 2025

PROGRAMME EXECUTIVE SUMMARY

Paragraph	Highlights
Programme overview	The Agricultural Productivity and Commercialisation Programme (APCP) is a 16.94 million Units of Account ADF Grant to the Republic of Malawi to sector budget support operation that focuses on implementing of reforms in the agriculture sector and build the sectors resilience to climate change. It is a single year operation that has two tranches within the same financial year of 2024/25 to respond to the Government's financing needs. The budget support is expected to complement the policy reform package which the Government of Malawi has agreed with the International Monetary Fund (IMF) under the Extended Credit Facility (ECF) Programme for Malawi however with particular emphasis on agriculture productivity and commercialization while strengthening resilience and public financial management and accountability within the sector. Specifically, the programme will support: i) Creation of an enabling economic and regulatory environment for agricultural transformation; ii) Promotion of agricultural productivity, commercialization, and market access; and iii) Ensuring sustainable financing and PFM in the agriculture sector and boosting resilience and protecting livelihoods and food security. The programme has two components, 1) Enhancing productivity, competitiveness, and private sector's participation in agribusiness; and 2) Enhancing resilience of the agriculture sector through effective public finance management and better mitigation of shocks.
Programme outcomes	Under component 1, the programme is expected to lead to increased agricultural productivity, commercialisation, and market access with focus on selected key value chains (maize, rice, groundnuts, soybean). Under component 2, the programme is expected to lead to improved efficiency, transparency and accountability of agriculture sector spending, and enhanced disaster mitigation and climate resilience of the sector.
Alignment with Bank priorities	The programme is aligned to the Malawi Country Strategy Paper (CSP 2023-2028) priority Area 2 – that supports economic diversification through investments in agricultural infrastructure and value chains, and CSP Outcome 4, enhanced agricultural commercialisation, productivity, and value chain development. It is also aligned to the recently approved Ten-Year Strategy (2024-2033) which in the agricultural sector, aims to invest in scaling up successful agricultural technologies to boost agricultural productivity and increase access to high yield, climate -adapted crop varieties by most relevantly, prioritisation of investment in climate smart agricultural value chains and expanding input supplies. The programme is further aligned to the High 5 priority areas, in particular Feed Africa that aims to achieve food security through transformation of agriculture and underpinned by various strategies including the Feed Africa Strategy (2016-2025) which prioritises agricultural productivity and enhancing agri-business environment including through policy reform; the Strategy for Economic Governance in Africa (2021-2025) Pillar II which focuses on governance for structural transformation, the Private Sector Development Strategy (2021-2025), Climate Change and Green Growth Policy (2021-2030) whose second pillar on mitigation entails the Banks advancement of countries NDCs and strategies, the Gender Strategy (2021-2025) and the Strategy for addressing Fragility and Building Resilience in Africa (2022-2026) in particular Pillar 2 and 3 which focus on building resilient societies e.g. by fostering economic transformation and catalysing private sector investments, through upstream (policy environment) interventions. Additionally, the Programme is aligned to the Agriculture Compact Priorities.
Needs assessment and justification	Given the tight fiscal space and foreign exchange challenges the country is currently experiencing, implementing reforms to restore macroeconomic stability and debt sustainability is fundamental, and the agriculture sector has a pivotal role in transforming Malawi's economy. It is, therefore, essential for the Fund to consider funding this operation, which will play a catalytic role in the attainment of the agriculture compact targets and the long-term country's vision of increased agricultural productivity and commercialisation through enhancement of Agriculture and Trade Policies, and Regulatory Frameworks as well as Public Finance Management in the Sector which will directly stimulate an increase in the agriculture and industry share of the GDP thereby diversify the country's economy.
Harmonisation	Strong harmonization among partners is key to drive key reforms in the agriculture sector. The Programme complements the IMF approved ECF for Malawi. It also complements the intervention by other DPs including the WB PBO and PFMR interventions and the EU. It has been developed in consultations with DPs including the IMF, WB, EU, FCDO, GIZ and key DPs in the agriculture sector including WFP, IFAD, IFPRI and other UN agencies including the Donor Coordination Committee on Agriculture and Food Security (DCAFS) Secretariat. To ensure internal harmonization and optimize synergies, thorough consultations were also done with government institutions including the Ministry of Finance and Economic Affairs, National Accountant General, National Audit Office, Ministry of Agriculture, Ministry of Trade, Ministry of Gender, Ministry of Natural Resources and Climate Change, Department of Disaster Management Affairs, Ministry of Justice, Office of the President and Cabinet, the Presidential Delivery Unit and the Public Procurement and Disposal of Assets Authority. Additional consultations were done with the Civil Society Network on Agriculture and the Farmers Union of Malawi to include the voice of the farmers in the design of the operation. Furthermore, consultations were also done with the Private sector including the seed producers, fertiliser producers, processors, and off-takers.

Bank's added Value	The Bank has extensive experience in carrying out budget support operations at regional and country levels, currently undertakes programme-based operations (PBOs) in regional member countries (RMCs) to drive key policy reforms. The Bank has learned valuable lessons from its involvement in various PBOs, which have been incorporated into the design of the current programme. Moreover, the Bank has extensive experience implementing budget support in the agricultural sector in various countries and has provided support to various initiatives in the sector including the Comprehensive Africa Agricultural Development Programme (CAADP), Agriculture Compact, Technologies for African Agricultural Transformation (TAAT) as well as the Feed Africa priority area of the High Fives all of which provide insights in the design of this operation. Additionally, the Bank takes a fragility lens approach to programming. This approach makes the design, implementation, and review of projects more sensitive to the drivers of fragility. Particular lessons have been drawn from the operations in the agriculture sector designed to respond to emergency food situations under the USD 1.5 billion Africa Emergency Food Production Facility (AEFPF) in terms of strengthening the resilience of African agriculture systems and safeguarding food security. The Bank's adaptability and responsiveness to challenges instil a sense of assurance in the audience. The Bank also actively participates in regular DCAFS meetings and policy dialogues. It adds value to the group by building on its prior programming and dialogue in the agriculture sector and its analytical work. Strong harmonization among partners is key to drive key reforms such as in the critical Agriculture sector. The Bank's intervention therefore complements the IMF ECF for Malawi and the intervention by other DPs including the WB PBO and PFMR interventions and the EU by furthering structural transformation in the agriculture sector and further implementation of PFM within that sector.
Contributions to gender equality and women's empowerment.	The MW2063 is reinforced by overarching legislations and policies such as the Gender Equality Act (GEA) 2013 and National Gender Policy 2015(NGP) which outline strategies for bridging the gender gap. However, their effectiveness depends on progressive implementation. The GEA and NGP serve as vital guiding frameworks for mainstreaming gender across all government sectors, including Agriculture. The national Agriculture policy 2016 is coherent with GEA and NGP in gender mainstreaming. The adoption of the National Agriculture Policy 2024 is anticipated to bolster effective participation of women, youth, and vulnerable groups in agriculture. Developed in a gender-responsive manner, it incorporates strategies across priority areas to advance the empowerment of women, youth, and vulnerable groups. Malawi has reforms supported by this operation which will promote Gender equality and women empowerment. The sector budget support has been categorized as GEN II on the Gender Maker System and will enhance the participation of women in agriculture value chains through: i) Enhancing access to land through formal registration of land certificates for women ii) Actions to promote access to finance for women through financial literacy and access to loans and other financial products iii) Support the formalisation of women's businesses in the agriculture sector through capacity building in business management; and iv) Linkage of women with Off-Takers to guarantee and enhance their access to lucrative markets
Policy dialogue and linked technical assistance	The Bank through specialists in governance, agriculture, climate change, finance management and social development will contribute to the DP's efforts by enabling regular policy dialogue across Government departments to ensure progress on the identified policy measures including the implementation of the Seed Act, Fertilizer Act, the Irrigation Bill, the implementation of the National Agriculture Management Information System (NAMIS) and various Land Conservation policies. Dialogue will also focus on relevant policies currently under development which impact on the agriculture sector including the Crops Bill, the Agriculture Input Reform Programme, and the Disaster Management regulations as relevant to build resilience of the agriculture sector and the roll out of the anchor-farms initiative. Dialogue will also focus on complementary policies that contribute to the transformation and commercialization of the agriculture sector including the Investment Promotion Act and the Special Economic Zones Act as well as the development of the Trade Policy and the Industrialization Policy. The Bank will also maintain regular dialogue on the implementation of the ECF Programme and the Public Finance Management strategy including the roll out of IFMIs in the agriculture sector. The operation also serves as an avenue for dialogue on regional initiatives in the sector such as the Agriculture Compact. The PBO support will be complemented by technical assistance from the Bank's Public Finance Management Academy which plans to provide policymakers with technical assistance and policy dialogue sessions on different aspects of the Public Financial Management (PFM) ecosystem. In addition to executive training to strengthen the capacity of PFM institutions and embedded advisers to transfer hand-holding skills for improved programme execution, this support will also entail in-country policy dialogue events on various public finance management topics including PFM at decentralized levels, debt management and domestic resource mobilization etc.

RESULTS BASED FRAMEWORK

A	PROJECT INFORMATION
PROJECT NAME AND SAP CODE: **Agricultural Productivity and Commercialization Programme (APCP)**	COUNTRY: Malawi
PROJECT DEVELOPMENT OBJECTIVE: To enhance agricultural productivity, increase commercialization and private sector participation, improve agricultural sector governance and boost resilience in the agriculture sector	
ALIGNMENT INDICATORS[1]: (i) Agricultural productivity (%)	

B RESULTS MATRIX

RESULTS CHAIN AND INDICATOR DESCRIPTION	RMF INDICATOR	UNIT OF MEASUREMENT	BASELINE 2023/2024	TARGET AT COMPLETION (2025)	MEANS OF VERIFICATION
COMPONENT 1: Creating an Enabling Economic and Policy Regulatory Environment for the Transformation and Commercialization of the Agriculture Sector					
OUTCOME STATEMENT 1.1: Agricultural Productivity is increased					
OUTCOME INDICATOR 1.1.1: Yield of the key agriculture value chains (Maize, Rice, Groundnuts and Soybean)	Yes	Tons/Ha	Maize (1.96), Rice (1.57), G/nuts (1) and Soybean (1.2)	Maize (2.3), Rice (2), G/nuts (1.5) & Soybean (1.5)	Agriculture Production Estimates Report
OUTCOME STATEMENT 1.2: Agricultural commercialization and market access is increased					
OUTCOME INDICATOR 1.2.1: Agricultural products exports	Yes	Percentage increase	20	23	Trade Statistics bulletin, National Statistical Office/ Annual Trade Sector Performance Report
COMPONENT 2: Enhancing Resilience of the Agriculture Sector through Effective Public Finance Management and Better Mitigation of Shocks					
OUTCOME STATEMENT 2.1: Efficiency, Transparency and Accountability of agriculture sector spending is improved					
OUTCOME INDICATOR 2.1.1 **Commitment control**: % of expenditure in the agriculture sector using IFMIS commitment control in real time		%	95	100	Ministry of Finance reports
OUTCOME 2.1.2 % of contract data (including Beneficial Ownership data) for the agriculture sector published following OCDS		%	65%	75%	PPDA reports
OUTCOME STATEMENT 2.2: Disaster mitigation and climate resilience is enhanced					
OUTCOME INDICATOR 2.2.1: Percentage of farmers adopting land resource conservation technologies (disaggregated by gender)		Percentage	80% (59% women)	90%, (at least 59 women)	Annual Agriculture Sector Performance Report

[1] These indicators will measure alignment with the country priorities identified for the operation.

COMPONENT 1: Enhancing Productivity, Competitiveness, and private sector participation in Agribusiness					
OUTPUT STATEMENT 1.1: Relevant Policy and Legislative Frameworks Developed					
OUTPUT INDICATOR 1.1.1: National Agriculture Policy Approved by Cabinet (Prior Action)		Yes/No	No	Yes (2024)	Cabinet Directive and the Policy
OUTPUT INDICATOR 1.1.2 National Land Resources Management Policy Approved by Cabinet (Prior Action)		Yes/No	No	Yes (2024)	Cabinet Directive and the Policy
OUTPUT INDICATOR 1.1.3 National Irrigation Bill and Policy Approved by Cabinet (Prior Action)		Yes/No	No	Yes (2024)	Cabinet Directive and the Policy
OUTPUT INDICATOR 1.1.4: Seed Regulations gazetted (Disbursement Condition)		Yes/No	No	Yes (2024)	Copy of the gazette
OUTPUT INDICATOR 1.1.5: Fertiliser Regulations gazetted (Disbursement Condition)		Yes/No	No	Yes (2024)	Copy of the gazette
OUTPUT INDICATOR 1.1.6: National Agriculture Extension and Advisory Services Policy Approved by Cabinet (Disbursement Condition)		Yes/No	No	Yes (2024)	Cabinet Directive and the Policy
OUTPUT INDICATOR 1.1.7 National Trade Policy is approved		Yes/No	No	Yes (March 2025)	Cabinet Directive and the Policy
OUTPUT INDICATOR 1.1.8 National Industrialisation Policy is Approved by Cabinet		Yes/No	No	Yes (2024)	Cabinet Directive and the Policy
OUTPUT STATEMENT 1.2 Agriculture Technology Improved					
OUTPUT INDICATOR 1.2.1 Number of farmers accessing improved technologies (including climate smart technologies) of which at least 59% women.	Yes	Number	628,000 (59% women)	1,200,000 (at least 59%women)	Annual Agriculture Sector Performance Report
OUTPUT INDICATOR 1.2.2: Number of farmers trained in innovative extension approaches and technologies (%women)		Number	628,000 (59% women)	1,200,000, (at least 59% women)	Annual Agriculture Sector Performance Report
OUTPUT INDICATOR 1.2.3: Number of agriculture districts with operational National Agriculture Management Information System		number	12	31	Annual Agriculture Sector Performance Report
OUTPUT STATEMENT 1.3 Increased Produce Marketing of key agricultural value chains					
OUTPUT INDICATOR 1.3.1: Agricultural produce marketing of the key value chains (Rice, Groundnuts and Soybean) at both domestic and export markets	Yes	MT	Rice 23,530, Soyabean 157,680 & G/nuts 30,000	Rice 25,000, Soyabean 160,000 & G/nuts 39,000	Annual Sector Performance Report
COMPONENT 2: Enhancing Resilience of the Agriculture Sector through Effective Public Finance Management and Better Mitigation of Shocks					
OUTPUT STATEMENT 2.1: PFM Systems in the Agriculture strengthened					

OUTPUT 2.1.1 The PFM Regulations to enhance the implementation of PFM reforms and operationalization of IFMIS are gazetted		Number (Government is pursuing a 3 phased approach to the regulations)	1	3	Gazette Notice of the Regulations
OUTPUT INDICATOR: 2.1.2 **Budget Execution:** Reduced variance in percentage between approved budget and funding/expenditure outturns		%	15	5	Accounts Appropriation Document, MoF
OUTPUT2.1.3 **Cash management:** Reduced variance between cashflow forecasts and actual disbursements		%	15	5	Ministry of Agriculture Expenditure Reports
OUTPUT INDICATOR 2.1.4: IFMIS functionality IT Audit undertaken including the Agriculture Sector		Number	0	1	Audit report submitted to the Bank
OUTPUT: 2.1.5 Audit Recommendations: Number of corrective actions required for implementation for the agriculture sector		Number	2	0	MoF reports/ Audit Reports
OUTPUT STATEMENT 2.2: Enhanced Climate Change Resilience in the Sector					
OUTPUT INDICATOR 2.2.1: Area under sustainable land resources conservation technologies		Ha of land	1,151,404	1,266,544	Annual Sector Performance Report
OUTPUT INDICATOR 2.2.2: Regulations for the disaster risk management for the agriculture sector gazetted		Yes/No	No	Yes	copy of gazette
OUTPUT INDICATOR 2.3.3: Area under irrigation in Ha		Cumulative Ha of land under irrigation	148,850	150,850	Annual Agriculture Sector Performance Report

REPORT AND RECOMMENDATION OF THE MANAGEMENT TO THE BOARD OF DIRECTORS ON A PROPOSED GRANT TO THE REPUBLIC OF MALAWI TO FINANCE THE AGRICULTURAL PRODUCTIVITY AND COMMERCIALISATION PROGRAMME (APCP)

I. INTRODUCTION: THE PROPOSAL

1.1 Management submits the following proposal and recommendation for an ADF Grant of Sixteen Million Nine Hundred and Forty Thousand Units of Account (UA16.94 million) to the Republic of Malawi to finance the Agricultural Productivity and Commercialisation Programme (APCP). It is based on a request from the Government to the AfDB for a Budget Support to strengthen reforms and resilience of the Agriculture Sector, Annex I.

1.2 The operation is a single year operation with two tranches within one Fiscal Year (2024/2025) that is prepared in coordination with other Development Partner (DPs) including the World Bank (WB), European Union (EU), GiZ, International Monetary Fund (IMF), Foreign Commonwealth and Development Office (FCDO) and UN Agencies. These DPs are brought together under the Donor Coordination Committee on Agriculture and Food Security (DCAFS) to coordinate and harmonise donor support in the agriculture sector including implementation of policy reforms in alignment to the National Overarching Development Framework, the Malawi 2063, and the sector development priorities.

1.3 This Agriculture Sector Programme Based Operation (PBO) is expected to complement the policy reform package which the Government has agreed with the IMF under the Extended Credit Facility (ECF) Programme for Malawi which covers among other areas restoring macroeconomic stability, debt sustainability, PFM reforms and accountability. The ECF also targets structural economic reforms to enhance competitivity and economic transformation. The programme is also aligned to the Malawi 2063 Vision, its 10 years implementation plan and the Country Agriculture Compact. This Programme complements these efforts with particular emphasis on agriculture productivity and commercialization while strengthening resilience and public financial management. Specifically, the programme will support: i) Creation of an enabling economic and regulatory environment for agricultural transformation; ii) Promotion of agricultural productivity, commercialization, and market access; and iii) Enhancing resilience by protecting livelihoods and food security. Additionally, the programme is aligned to Bank Strategies as detailed under 4.1.

1.4 The implementation of the programme will not only complement the policy reform package which targets increased productivity, market access and resilience of agriculture management systems but will also serve as a catalyst for the attainment of the Country's agriculture compact targets. This Compact is a strategic initiative aimed at increasing private sector investment in the agricultural sector, boosting productivity, value addition, and exportation of selected value chains. The programme will significantly contribute to these targets, further strengthening the agricultural sector.

II. COUNTRY CONTEXT

2.1 Political and Governance Context:

2.1.1 Malawi has been stable since independence with the holding of regular democratic elections. In June 2020, Lazarus Chakwera won the presidential election with 59 percent of the vote following the cancellation of the 2019 presidential election results by the Constitutional Court due to systematic irregularities in the election proceedings. The Tonse Coalition which comprises Chakwera's Malawi Congress Party, the United Transformation

Movement (UTM) and 7 other smaller parties prioritized economic recovery and transformation anchored on the achievement of macroeconomic stability, a sound financial management, and achievement of economic growth. Malawi is currently implementing a National Decentralization Policy that is aimed at devolving political and administrative power, with direct budget allocations from the central government to local governments. Increasing socioeconomic challenges have stoked discontent towards the government with several incidents of peaceful demonstrations in 2022. The country's overall Governance score has improved over the last decade (2012-2021), with more improvement observed during the latter half of the period (2017-2021). The country scored 51.5 and 54.6 (out of 100) and was ranked by the Ibrahim Index of African Governance (IIAG) at 23 and 18 (out of 54) in 2019 and 2021, respectively. Since 2012, significant improvements have been made in Security & Rule of Law (+2.7), Foundations for Economic Opportunity (+2.5), and Human Development (+3.5). However, deteriorations have been reported in participation, rights & inclusion (-3,2), driven by the decline in the sub-categories of participation and inclusion and women's equality. The 2023 Corruption Perceptions Index by Transparency International ranked Malawi at 115 out of 180 countries reflecting a decline from its ranking of 110 in 2022. The Bank's Country Policy and Institutional Assessment (CPIA) indicates a decline in Malawi's performance in all categories except for Social Equity and Inclusion. Its overall score slipped from 3.57 in 2020 to 3.44 in 2023, on a scale of 1 to 6.

2.1.2 A National Audit Investigative Report of March 2021 noted procurement irregularities on expenditure relating to the use of COVID 19 funds. Dozens of controlling officers who were responsible for managing COVID 19 resources were thus interdicted. The President also established a Task Force to coordinate restructuring of the civil service and the entire system of allowances and procurement in the public sector to root out corruption. A follow up report on the corrective measures following the investigative report has been published. The report details key remedial measures to avoid recurrence of the abuse of funds including amongst others the review of the Public Procurement and Disposal of Assets (PPDA) Act to provide for declaration of beneficial ownership in the bidding process and to address the anti-competitive practices by bidders in the procurement process; requiring all payments across Government Ministries, Departments and Agencies (MDAs) to be done exclusively done through Electronic Funds Transfer (EFT) and operationalization of the Financial Crimes Court to fast- track prosecution of financial related crimes. It is also easier to make arrests for suspected corruption cases following the removal of the requirement for the Anti-Corruption Bureau to obtain consent from the Deputy Public Prosecutor to effect such arrests.

2.2 Recent Economic Developments, Macroeconomic and Fiscal Analysis

2.2.1 Large swings in economic growth during the 1990s have largely disappeared, but Malawi's overall economic growth remains volatile and has shifted to a lower growth trajectory. For the decade beginning in 2004, growth averaged 5.8 percent compared to 3.3 percent during the ten-year period from 2014 to 2023. In recent years, Malawi has been buffeted by exogenous shocks that have impacted its growth performance, but this has also happened at a time of heightened macroeconomic instability and a deteriorating debt situation. In the last four years, the country was hit by the COVID-19 pandemic, devastating climate change-related weather events that have occurred every year, and geo-political crises such as [2]Russia's invasion of Ukraine. Growth has been further weighed down by foreign exchange shortages, low productivity in agriculture and depressed private sector demand as

[2] The Language agreed in the Communique of the 2022 Annual Meetings of the Bank Group held in Accra, Ghana, was "Russia's invasion of Ukraine." Algeria, China, Egypt, Eswatini, Namibia, Nigeria and South Africa entered a reservation and proposed "Russia-Ukraine Conflict".

real per capita incomes have been falling. The economic outlook in 2024 is however positive, with real GDP growth rising to 3.3 percent compared to 1.5 percent in 2023. The improved growth scenario will be supported by improved power supply and a recovery in industrial production, sustained infrastructure investments and improved agricultural productivity and commercialization in the agriculture sector which will directly lead to improved foreign exchange earnings. The main risks to the economic outlook are a failure to resolve the debt crisis, the negative effects of climate change and continued shortages of foreign currency.

2.2.2 Exogenously driven price increases, coupled with the monetization of fiscal deficits and reduced food supplies have exacerbated inflation pressures, with the inflation rate increasing to 34.5 percent in January 2024 compared to 33.1percent in December 2023. Exchange rate depreciation pressures continue due to the low levels of foreign reserves, which are less than one month of imports cover. The current account balance worsened by 0.2 percent in 2023 compared to 2022. Two devaluations in May 2022 (25 percent) and November 2023 (44 percent) have not eliminated the parallel exchange market, where premiums are more than 10 percent. The fiscal deficit is expected to be 9.5 percent of GDP compared to the 8.1 percent of GDP estimated at the presentation of the 2023/24 budget, but lower than the 12.1 percent of GDP realized during FY2022/23. There is a risk that the FY2024/25 fiscal deficit could widen due to poor revenue performance and higher expenditures as both the wage bill and general government expenses have been adjusted upwards following the devaluation of the Malawi Kwacha in November 2023.

Table 1 - Macroeconomic Indicators	2019	2020	2021	2022	2023(e)	2024(p)	2025(p)
Real GDP Growth	5.7	0.8	4.6	0.9	1.5	3.3	3.8
Real GDP Growth per Capita	3.0	-1.9	2.0	-1.7	-1.1	0.7	1.2
Inflation	9.4	8.6	9.3	20.8	28.7	27.3	14.3
Overall Fiscal Balance, Including Grants (% GDP)*	-4.6	-6.6	-7.4	-9.6	-10.1	-8.7	-7.6
Current Account (% GDP)	-12.0	-12.5	-16.7	-2.8	-7.3	-8.2	-9.5

Source: Data from Domestic authorities; estimates (e) and prediction (p) based on authors' calculations. AfDB Statistics Department, April 2024

*Note: *Data in fiscal year 1 July (n-1)/ 30 June (n)*

2.2.3 Malawi is currently classified as in debt distress, with the country in arrears on its debt obligations to Afrexim Bank and the Trade and Development Bank. Its public debt-to-GDP ratio increased from 30 percent in 2006 to 75 percent in 2023. Most of the increase in the ratio has occurred during the last three years, when total public debt rose from USD5.4 billion in 2021 to USD7.6 billion in 2023. Of this debt, USD3.7 billion (48.3 percent) is external debt and USD3.9 billion is domestic debt. An IMF Extended Credit Facility (ECF) agreement for an amount of USD175 million was reached in November 2023. The ECF programme entails a package of reforms to stabilise the macroeconomy and achievement of debt sustainability in the medium-term. These reforms include adopting a more flexible exchange rate policy, rolling out the Integrated Finance Management Information System (IFMIS) to all core Ministries, MDAs, avoid monetization of the budget financing, and strengthening governance and data transparency.

2.3. Competitiveness of the Economy

2.3.1 The 2020 Global Competitiveness Index (GCI) is the most recent data including Malawi where the country's score was 43.7 and ranked 128th out of 140 countries, an improvement by one rank compared to 2019. Major challenges to doing business have negatively impacted structural transformation of the economy, dominated by the services and agriculture sectors, which contribute an average of about 55% and 31% in total value added,

respectively, since 1990. Diversifying into other sectors such as manufacturing, mining and services has been hindered by costly transport costs, erratic energy supply, skills shortages, and low productivity hence the loss in its competitiveness. The country's new development strategy, Vision 2063, seeks to transform the economy through renewed efforts to enhance investments in economic infrastructure, including increasing area under irrigation to enhance productivity and reduce the cost of doing business in the country. In agriculture, the focus is on shifting from smallholder farms to mega farms that will support commercialization of agriculture and foster diversification of agricultural products and support agro-industrial activities. These efforts will create backward and forward linkages with the manufacturing sector while promoting the adoption of new agricultural technologies for improved competitiveness.

2.4. Public Financial Management

2.4.1 The Country Fiduciary Risk Assessment (CFRA) indicates that the fiduciary risk rating remains substantial while there is a positive PFM reform trajectory. The Government of Malawi has taken several steps to improve public financial management following the adoption of the new Public Financial Management Act in March 2022. The new legislation aims to reinforce the internal audit function, parliamentary oversight, transparency, access to information, financial reporting, and debt management. The implementation of the Act will be a critical success factor for the public financial management reform agenda.

2.4.2 There has been a degree of progress in improving public financial management but there is still a critical need to reinforce the internal control environment across the public sector. This includes fostering compliance with internal controls, enforcing sanctions in cases of non-compliance, strengthening the internal audit function, ensuring the timely implementation of audit recommendations as well as the introduction of legislative scrutiny of extra-budgetary units (EBUs) and public corporation financial reports. It is essential that the Government continues its efforts towards the improvement of the overall PFM systems.

2.4.3 In November 2022, Malawi unveiled the Public Finance Management Strategy (PFMS) covering the period 2023 – 2028. The Strategy and its accompanying Rolling Plan represent the second-generation programmatic approach to PFM reforms targeting improvements in transparency and accountability in the public sector and responding to findings of the 2018 Public Expenditure and Financial Accountability Assessment (PEFA). The 2018 PEFA concluded that although there was substantial progress in many of the PFM sub-systems, including revenue management, there were increasing stocks of arrears, expenditure overruns, weaknesses in budget documentation, public debt reporting, oversight of fiscal risk, and non-compliance to commitment controls.

2.4.4 Malawi faces some implementation challenges related to insufficient capacity that will need to be prioritized to implement the rules and regulations arising from the revision in the PFM legislation and the new PFM system (IFMIS) roll-out. The WB is processing a USD 80m Malawi Fiscal Governance for Results Programme to support the efforts of the Authorities in the implementation of the PFM Strategy and has significant complementarity with the ECF World Bank Development Policy Financing (DPF) and interventions by other DPs including this AfDB operation. Plans are underway for an IFMS audit by the National Audit Office to include Ministry of Agriculture among the Sampled entities. Government has also progressed the amendment to the public procurement law 2017 and PPDA regulations issued in 2020 while work on development of standard bidding documents in underway. The Methodology for Assessing Procurement Systems (MAPS) of 2019 revealed significant gaps in the public procurement legal and regulatory framework that may impact on the efficiency,

quality, and fairness of procurement outcomes which necessitate a further review of the procurement law. Critical identified gaps include delays in finalization of the draft Desk Instructions and Bidding Documents. It is currently not efficient for the Procuring Entities to routinely rely on PPDA's guidance in implementation of the procurement process.

2.4.5 In terms of PFM, the agriculture sector has adopted a programme-based budgeting approach which aligns the sector investment plan to the Malawi Investment Plan with an allocation to the sector which is within the recommended 10% of the National Budget for 2023. However, the sector remains constrained during budget execution by unpredictability of fundings as per approved budget. Furthermore, the accounting system has shown some improvements with both the recurrent budget and government funded projects transacting directly on IFMIS and plans are underway to extend commitment control functionality, cash management and other key modules to the agriculture sector which will improve accountability in the sector use of public resources. Although donor funded projects use a stand-alone accounting system and should in future be integrated into the IFMIS. This programme targets specific performance measures in budget execution, commitment control, cash management in the agriculture sector as defined in the log frame.

2.4.6 PPDA is progressing the e-GP reform and the Ministry of Agriculture is one of the targeted 30 pilot entities for 2024. To promote competitiveness in the sector, PPDA issued guidelines in 2022 regarding use of competitive procurement methods in the acquisition of inputs e.g., fertilizers. Additionally, specific regulations were passed under Office of Registrar of Companies in February 2023, making it mandatory to provide beneficiary ownership information aimed at improving transparency and accountability in the sector procurement process. The National Audit Office prepares separate audit report for donor funded projects to ease tracking of recommendations and all project Audits within the sector are up to date. The Programme also includes specific performance measures on procurement transparency as well as level of implementation of the Audit recommendations for the sector.

2.5 Agriculture Context

2.5.1 Agriculture contributes about 22 percent of the Gross Domestic Product (GDP) with Tobacco as the main foreign exchange earner. On average, the sector accounts for more than 70 percent of export earnings. Malawi being an agriculturally based economy, agriculture remains key and strategic in stabilising and boosting the country's economy. However, its performance has been below potential due to several binding constraints including: i) climate change effects, ii) limited access to land and fragmented land tenure systems; iii) unsustainable natural resource use including poor land management, iv) unaffordable farm inputs and limited improved farm technologies; v) limited and unaffordable agriculture finance; vi) lack of structured markets for most value chains; vii) limited crop diversification, viii) weak policy and legislative frameworks to catalyse private sector investment in the sector, and ix) limited investment in large scale irrigation infrastructure; agricultural research, extension services and value addition.

2.5.2 Owing to these constraints, the sector's GDP contribution has been declining from 28.3 percent in 2017 to 21.76 percent in 2023 with an average growth rate of 3.6 percent, which is lower than the CAADP framework target of 6 percent despite attainment of the CAADP target of 10 percent minimum national budget spending on the agriculture sector. Sector performance assessments also reveal that the sector has been overspending on input subsidies which target poor smallholder farmers who produce crops for subsistence, thus the budget has been largely consumption oriented, crowding out investment in other transformative and impactful sub sectors. In this regard, with DP's support, the government has been

implementing reforms on implementation of the input subsidy programme since the 2021/22 Financial Year to improve beneficiary targeting and free up fiscal space. Implementation of the reforms have led to a reduction of the spending on the input subsidies from about 75 percent of the sector budget share to less than 30 percent in the 2022/23 financial year. The sector is also implementing reforms to restructure and revitalise the Agriculture Development and Marketing Corporation (ADMARC) to address marketing challenges which are persistent. Further reforms are on extension services delivery and functionality of the National Food Reserve Agency (NFRA).

2.5.3 In 2022, the annual growth in Agricultural GDP decreased from 3.8 percent recorded in 2021 to 0.9 percent which was mainly attributed to adverse weather conditions in particular, late onset of rainfall and occurrence of cyclones. Furthermore, Russia's invasion of Ukraine and foreign exchange shortages made it difficult to source the necessary agricultural inputs which resulted in reduced crop production.

2.5.4 Transformation of the agriculture sector is therefore central to achievement of the Malawi 2063 targets requiring a shift from low productivity and subsistence-oriented agriculture to a highly productive and commercialized agricultural system with manufacturing linkages which will attract investment in value addition and agro-processing, resulting in the inclusive creation of employment, wealth and ultimately, economic self-reliance.

2.5.5 Guided by the Malawi Implementation Plan (MIP) 1, the sector is concentrating efforts to unlock its potential and has identified the following as key investment priorities: i) Agriculture Diversification; ii) Irrigation Development; iii) Anchor Farms; iv) Agriculture Inputs; v) Agricultural Mechanization; vi) Structured Markets; and vii) Agricultural Research, Innovation and Dissemination. An enabling environment is however fundamental and in recent years, the following legislative frameworks have been developed: the Seed Act, Fertiliser Act, Investment and Export Promotion Act, Special Economic Zone Act, and others still in draft form, e.g., Irrigation Bill, Crops Bill, and drafting of policies and strategic plans.

2.5.6 This budget support will complement the Government's efforts by strengthening the policy and legislative framework as well as the public finance management in the sector through implementation of reforms which will directly contribute towards addressing the sectoral binding constraints by: i) building the sector's resilience to climate change, ii) catalysing private sector's participation in the sector and improving agricultural produce marketing and manufacturing, iii) promoting sustainable use of natural resources, iv) crop diversification, v) Large scale irrigation development, and vi) fostering adoption of improved technologies and development of the seed and fertiliser subsectors.

2.6 Inclusive Growth, Poverty and Social Context

2.6.1 Malawi being an agriculturally based economy which employs more than 59 percent women in the labour force, who are smallholder farmers, in subsistence farming and undertake farming activities with low technology, gender integration in sector programming is fundamental. Gender inequality in the Malawian society remains an issue due to hight disparities between female and male achievements in empowerment, economic status and reproductive health, ranking Malawi 148 out of 160 countries on the UN Gender inequality index. Forced and early child marriages are rife coupled by teen pregnancies with 28 percent of adolescent girls reporting that they were currently or previously married, resultantly a high number of rural women drop out of school hence they have limited education. Education level is however a key

factor of production as it influences adoption of good agricultural practices, improved technologies as well as commercial engagements. World Development Indicators (WDI) show that Malawi has one of the highest rates of adolescent fertility in the world, with 132 births per 1,000 women between the ages of 15 and 19 in 2018, and this affects their participation in commercial agriculture due to their reproductive roles.

2.6.2 Malawi was also affected by COVID-19, and other natural disasters such as Tropical cyclone storm Idai, Anna and Freddy, leading to massive displacements of people and restricted access to services, such as agriculture. Climate change affects agriculture and poses severe implications on women and their households, since they rely on agriculture for their survival. The negative impacts of the El Nino conditions are so widespread that the government has had to declare a State of National Disaster in 23 out of the 28 districts in the country. Women lack finances to buy mechanised tools and farm inputs which enhances efficiency and increase agricultural productivity. Low land ownership for commercial farming, is a key challenge that cause low agricultural productivity for women because they are limited to subsistence farming, hence they fail to formalise their agricultural activities such as contract farming and irrigation, due to lack of security of land tenure. Other key challenges include gender-based violence, limited access to credit by women due to lack of ownership of land and assets to be used as collateral to have access to loans. Access to land, farm inputs, mechanization, and identification of off-takers have potential to increase agricultural productivity and participation of women in the agro-production processing, which will narrow the gender gaps as the intervention will mitigate the challenges faced by women.

III. GOVERNMENT DEVELOPMENT PROGRAMME

3.1. Government overall Development Strategy and Medium-Term Reform Priorities

3.1.1 Malawi's long-term development strategy is articulated in Vision 2063 (MW 2063) which aims to transform Malawi into a wealthy and self-reliant industrialised upper middle-income country by 2063. MW2063 is anchored on three reinforcing pillars- agriculture productivity and commercialisation (Pillar 1), industrialisation (Pillar 2) and urbanisation (Pillar 3). Vision 2063 is operationalised through the Malawi Implementation Plan 1 (MIP 1, 2021-2030) the first ten -year implementation plan, that further elaborates the three pillars of the vision into fifteen focus areas and seven enablers[3]. The MIP-1 is aligned to the Sustainable Development Goals (SDGs), the AU Agenda 2063, as well as regional integration frameworks in SADC and COMESA. Malawi is also a signatory to the African Continental Free Trade Area (AfCFTA).

3.1.2 Within the agriculture sector, the National Agriculture Policy (NAP, 2024) provides the strategic direction for the development and ensures that policies, strategies, and actions by the GoM necessitate sustainable agriculture production, increased mechanisation, increased area under irrigation, increased agro-processing and value addition, enhanced risk management, strengthened marketing systems, accelerated export growth, and improved good security and nutrition. The NAP is complemented by the National Agriculture Investment Plan (NAIP, 2017-2023) which guides investment focus in the medium term to accelerate, agriculture transformation, economic growth, and poverty reduction. The NAP is aligned to the African Union's Malabo Declaration (2014) and CAADP, through increasing investment finance in agriculture, inclusion of agricultural growth and transformation (e.g. through supporting PPPs in commodity value chains), enhancing resilience of livelihoods and production systems to climate variability (e.g., through enhanced irrigation) and sustaining

[3] MIP 1, pages xi- xiv.

budgetary allocations of at least 10% to the agricultural sector.

3.1.3 In the recent past, the GoM has undertaken to review and update the policy space in the sector to ensure that the strategic documents are relevant and up to date to meet the present-day needs. As such, various national sectoral strategies and policies have been drafted (and are pending approval) which include the new National Agriculture Policy, the National Agriculture Extension and Advisory Services Policy, National Irrigation Policy, the Land Conservation Bill, and the Irrigation Bill. These will be supported by the programme under preparation to underpin efforts and reforms to spur the commercialisation, enhance productivity, develop infrastructure, implement sound land practices, and increase private sector investment in the sector.

3.2. Challenges to National/ Sector Development program

3.2.1 Despite its many strengths and opportunities, Malawi faces several challenges that need to be addressed to enable it to achieve its development aspirations set forth in its vision 2063 and MIP 1. The CSP summarizes the key challenges as i) Rising public debt, limiting fiscal space, high inflation rates, foreign exchange shortages, structural balance of payment challenges and weak growth; ii) Spatial disparities and high unemployment particularly among low educated youth and women further compounding inequality, iii) Infrastructure gaps, and iv) unfavourable business environment to the growth of micro, small and medium enterprises. The agriculture sector is characterised as being rainfall dependent and hence vulnerable to climate change with limited investment in large irrigation infrastructure, agricultural finance, mechanisation, crop diversification, agriculture technology improvement, agricultural research, agriculture extension, and value addition.

3.3. Consultation and Participation Processes

3.3.1 The Programme complements the IMF approved Extended Credit Facility for Malawi and has been developed in consultations with development partners including the IMF, WB, EU, FCDO, GIZ and UN agencies including the Donor Coordination Committee on Agriculture and Food Security (DCAFS) Secretariate. Thorough consultations were also done with government institutions including the Ministry of Finance and Economic Affairs, National Accountant General, National Audit Office, Ministry of Agriculture, Ministry of Trade, Ministry of Gender, Ministry of Natural Resources and Climate Change, Department of Disaster Management Affairs, Ministry of Justice, Office of the President and Cabinet, the Presidential Delivery Unit and the Public Procurement and Disposal of Assets Authority. Additional consultations were done with the Civil Society Network on Agriculture and the Farmers Union of Malawi to include the voice of the farmers in the design of the operation. Careful policy dialogue through appraisal and beyond, and the selection of a focussed set policy reforms as prior actions which are key to the agriculture transformation agenda. The credibility of the current prior actions is buttressed by the fact that the Government has already launched processes and committed in the FY 2024/25 budget to most of the reforms with the focus on enhancing agricultural productivity and commercialisation.

IV. BANK SUPPORT TO GOVERNMENT STRATEGY

4.1. Link with Bank Strategy

4.1.1 The designed programme is aligned to the Malawi Country Strategy Paper (CSP 2023-2028), Priority Area 2 – that supports economic diversification through investments in agricultural infrastructure and value chains, and CSP Outcome 4; enhanced agricultural commercialisation, productivity, and value chain development. It is also aligned to the

recently approved Bank's Ten-Year Strategy (2024-2033) which in the agricultural sector, aims to invest in scaling up successful agricultural technologies to boost agricultural productivity and increase access to high yield, climate -adapted crop varieties by most relevantly, prioritisation of investment in climate smart agricultural value chains and expanding input supplies.

4.1.2 The programme is aligned to the High 5 priority areas, in particular Feed Africa that aims to achieve food security through transformation of agriculture and underpinned by various strategies including the Feed Africa Strategy (2016-2025) which prioritises climate smart agricultural productivity and enhancing agri-business environment including through policy reform; the Strategy for Economic Governance in Africa (2021-2025) Pillar II which focuses on governance for structural transformation, the Private Sector Development Strategy (2021-2025), Climate Change and Green Growth Policy (2021-2030) whose second pillar on mitigation entails the Banks advancement of countries NDCs and strategies, the Gender Strategy (2021-2025) and the Strategy for Addressing Fragility and Building Resilience in Africa (2022-2026) in particular Pillar 2 and 3 which focus on building resilient societies e.g. by fostering economic transformation and catalysing private sector investments, through upstream (policy environment) interventions. Additionally, the programme is aligned to the Agriculture Compact priorities.

4.2. Meeting the Eligibility criteria

4.2.1. Malawi meets all the eligibility criteria for a PBO. **Malawi is committed to poverty eradication-** The strategic thrust of the Malawi Vision 2063 is on Inclusive wealth creation and self-reliance; a paradigm shift from directly targeting poverty reduction. Vision 2063's aspiration is for Malawi to become an upper middle-income country with a per capita income rising from USD 603 in 2020 to USD 4,256 by 2063. Various sectoral strategies and policies have been developed to support implementation of the MIP-1 some of which including the National Agriculture Policy and the Trade Policy are supported by this operation**. Macroeconomic Stability**- Government aims for a stable macroeconomic framework to help ensure growth and recently concluded an IMF Staff Monitored Program which is under implementation with priority reforms to address macro-economic stability, debt management, domestic resource mobilization and governance and accountability among others. Through its efforts to transform the agriculture sector the program will also contribute to increased economic growth and macro-economic stability all government activity and spending to meet development objectives. **Harmonization** among DPs is strong and coordinated under the leadership of the Ministry of Finance and Economic Affairs. Coordination of DPs in the Agriculture sector is also great under the DCAFS**. Fiduciary Risk Assessment**: The Country Fiduciary Risk Assessment (CFRA) rated Malawi's overall risk as Substantial. Ongoing reforms are however addressing the weaknesses identified by the CFRA and the PEFA through the PFMA, the PFM Strategy and the ECF reforms. The Government has also prepared a report of the corrective actions taken to address the recommendations of the Investigative Report on COVID 19 spending. **Political Stability-** Politically the country is stable and holds elections regularly with peaceful transfer from one government to the next.

4.3. Relationship with Other Bank Operations

4.3.1 The operation provides an opportunity to spur policy and regulatory reforms that are critical for the agriculture sector, and which have been identified in various Investment Projects. It complements the Malawi COVID 19 pandemic Budget support as well as the Agricultural Emergency Food Production Facility (AEFPF) that responded to the crisis in the

agriculture sector due to the impact of Russia's invasion of Ukraine. The programme also complements various Bank interventions in Malawi including the Shire Valley Transformation Programme (SVTP) and the Agricultural Infrastructure and Youth in Agribusiness (AIYAP) through creation of an enabling environment for private sector investment, agricultural productivity enhancement and commercialisation. Furthermore, the programme is complementary to the ADRiFi Project on sector resilience building to climate change. Implementation of this programme will therefore catalyse and optimise the developmental impact of previous and ongoing Bank funded operations in the agriculture sector.

4.4. Lessons Learned from Previous Bank Operations in the Country

4.4.1. The programme design was guided by lessons learned from implementation of Bank-financed projects in Malawi and other countries, as well as experience with projects financed by other donors. The Bank has accumulated considerable expertise in general and sector budget support programmes in RMCs. Lessons learned from these projects provided a basis for improving the design of this intervention, the main ones of which are summarized in the Table below.

Table 2: **Key Lessons Learnt**

Key lessons learned	Action taken to integrated lessons into the Programme
Ownership and commitment of the Sector to ensure the success of the former PBO.	This programme has been designed under the leadership of the Ministry of Agriculture which has articulated the priorities, plans and expected results for Agricultural Transformation in Malawi. The programme is also designed to disburse with a single FY in response to the Government's request and financing needs. This has helped to maintain the momentum of reforms on the Government side.
Need to ensure realistic reform ambition. Malawi has over the years cemented the place of agriculture in its transformation with consistent budget allocation and various strategies in place but with little progress in practice**.**	For this operation emphasis has been on maintaining policy actions in critical areas and ensure they are realistic according to Government's expected deliverable timelines. While there has been dialogue on different policy areas including Debt Management, Public Finance Management, Trade etc, in the end the decision was only to select prior actions and disbursement triggers only in the agriculture sector to optimize the impact of reforms.
Harmonisation – Strong harmonization among partners is key to drive key reforms in the agriculture sector	Extensive consultations have been undertaken with the DPs supporting reforms in Malawi, notably the IMF for the ECF, the World Bank and the EU who are preparing sector budget supports. Consultations as well were held with the DCAFS secretariat and selected DPs active in the agriculture sector including the World Food Programme (WFP), International Fund for Agricultural Development (IFAD), GiZ and Foreign Commonwealth and Development Office (FCDO) etc. to harmonize efforts in reforming the agriculture sector. While the programme focuses on the agriculture sector, it complements the interventions and dialogue of the ECF on governance and PFM and furthers the intendment of the anticipated WB PFMR in PFM project by pursuing the PFM performance in the agriculture sector.
Need for Stakeholder Buy in	Consultations were held with the various stakeholders to gather perspectives on the reforms currently underway and their impact. This helped to narrow down and prioritize the focus of the programme to priority areas such as the National Agriculture Policy and the Seed and Fertilizer regulations which are eagerly awaited by stakeholders.

4.5 Analytical Works Underpinning the PBO

4.5.1 The Programme has benefited from various analytical works including the recently approved CSP (2023-2028) for Malawi, the country diagnostics notes prepared and specifically the agriculture sector diagnostic note. It has also benefitted from the analysis under the IMF ECF Programme concluded with Malawi in November 2023 as well as documents underpinning the Government reform efforts including the PFM Strategy and the draft policies and bills in the agriculture sector including the NAIP, Irrigation Bill, Fertilizer Act, and Seed Act and others. The Ministry of Agriculture also shared with the team the Performance Based Budgeting framework (PBB) which has informed the results framework.

V. THE PROPOSED PROGRAMME

5.1. Programme Goal and Purpose

5.1.1 The Programme Development Objective is to enhance agricultural productivity, increase commercialization and private sector participation and boost resilience. Its specific objectives are to: i) Create an enabling economic and regulatory environment for agricultural transformation; ii) Promote agricultural productivity, commercialization, and market access; iii) Enhance resilience by protecting livelihoods particularly of the smallholder and peasant farmers and food security.

5.1.2 **Theory of Change:** The programme will support the Government in enhancing agricultural commercialisation, productivity, and exports by creating an enabling environment for private sector participation and investment. This will be achieved by providing a predictable and supportive overarching regulatory and policy space for agricultural productivity, input supply and new agricultural technologies, trade, investment, and export promotion; a robust agricultural information management system; transparent sectoral budgetary processes; and enhanced disaster risk management including increased investment in large scale irrigation infrastructure. All these efforts will be underpinned by sound financial management and information systems in the sector, supportive of the PFM reform path the country is undertaking. The main outcomes expected from these interventions include i) increased agricultural productivity, ii) increased agricultural commercialisation and market access, iii) improved efficiency, transparency, and accountability of the agriculture sector spending, and iv) Disaster risk mitigation and climate resilience of the agriculture sector. The programme assumes continued Government's political will and commitment to implement the identified policy measures and transform the sector as well as available technical capacities and resources to implement the measures. Please see Annex XIV of the technical annexes for a detailed diagram.

5.2. Programme Components

5.2.1 The Programme has two components each designed with focus on two main outcome areas as follows:

Component 1: Enhancing Productivity, Competitiveness, and private sector participation in Agribusiness. This component will support policy, institutional and regulatory reforms designed to facilitate private as well as public-private investment in agrifood systems transformation. Its key focus areas are: i) Strengthening the governance, policy, and regulatory environment for agricultural transformation; ii) Strengthening measures to enhance commercialization, private sector participation, market access and access to finance for agriculture products.

R*ecent Government Action:* To operationalize the country's vision on agricultural

productivity and commercialization, the Malawi Implementation Plan (MIP)-1 identifies seven focus areas namely: Agricultural diversification, irrigation development, anchor farms, agricultural input access, agricultural mechanization, structured markets and agriculture research, innovation, and dissemination. In furtherance of this, the Government has elaborated the National Agriculture Policy (NAP) which further emphasizes commercialization to promote sustained growth. In addition, the Government has formulated the National Agriculture Investment Plan (NAIP) which is pivotal and seeks to harmonize agricultural investments, foster the transformation of key value chains to enhance food security and reduce poverty, and boost income and export earnings. Implementation of the Framework proceeds on four core programs i) Policies, Institutions, and Coordination; ii) Resilient Livelihoods and Agriculture Systems; iii) Production and Productivity for Growth; and iv) Markets, Value Addition, Trade, and Finance. In addition to the NAP and the NAIP, there are several pieces of laws, regulations and policies under development that are important to spur the Government efforts to increase productivity and enhance private sector participation in the agriculture sector as summarized in the technical annex 4.

Following the Feed Africa Dakar 2 Summit, the Sector developed a Country Agriculture Compact. The compact identifies Maize, Rice, Soybean, Groundnuts, Cotton, Macadamia, and Bananas as priority crops. The compact also identifies livestock production as a priority value chain. Government is also looking at anchor farming through the creation of various Block farms as a measure to enhance productivity and market access. In line with the country's aspirations to improve market access, trade and exports including as regards the Agricultural sector in November 2023 the Investment Promotion Act and the Special Economic Zones Act were enacted with the development of regulations underway. The Malawi Trade Policy is also under review.

Measures Supported by the Program i) National Agriculture Policy approved by Cabinet, ii) National Land Resource Management Policy approved by Cabinet, iii) National Agriculture Extension and Advisory Services Policy approved by Cabinet, iv) The Irrigation Bill and Policy Approved by Cabinet, (v) The Fertilizer Act Regulations approved by Ministry of Justice , vi) The Seed Act Regulations approved by Ministry of Justice, (vii) The Trade Policy approved by Cabinet, and viii) The Industrialisation Policy Approved by Cabinet.

Expected programme outcomes include: i) increased agricultural productivity, of selected key value chains (maize, rice, groundnuts, soybean), and ii) increased commercialisation and market access.

Component 2: Enhancing Resilience of the Agriculture Sector through Effective Public Finance Management and Better Mitigation of Shocks. This component will address reforms designed to strengthen the sector's fiscal governance and delivery focusing on two main areas: i) Enhance PFM implementation in Agriculture (public expenditure efficiency and transparency through IFMIS roll-out to improve expenditure efficiency, cash management, budget execution, procurement); ii) Boosting resilience through improved disaster planning and beneficiary targeting.

Recent Government Action: The guiding framework for agriculture spending remains the CAADP, which recommends that member states should spend at least 10 percent of the national budget on the agriculture sector to stimulate private sector investment and achieve an annual agriculture GDP growth rate of 6 percent. During the 2022/2023 financial year, allocation to agriculture sector was 10.8 percent of the national budget, surpassing the

CAADP Malabo target by 0.8 percent. Even though this is the case, the sector's budget allocation has been declining at a rate of 0.08 percent. The declining trend is attributed to, amongst other factors, a reduction in the development budget due to reduced direct budget support from DPs. Sectors spending is within the overall framework of the Public Finance Management Act No- 4 of 2022 which became effective on 1 April 2022. Government also has a PFM Strategy 2024-28 which is implemented on a rolling basis. The PFM regulations to support the implementation of the Act covering issues such as public expenditure efficiency, budget execution and account reconciliation were passed in December 2023. The Government has implemented the new SAP-based Integrated Financial Management Information System (IFMIS) across all MDAs including the Ministry of Agriculture. The current implementation covers five operational IFMIS modules comprising budget & funding, procurement, payments, general ledger, and bank/cash management. The National Audit Office intends to undertake an IT Audit of the IFMIS by March 2025 covering a few sample ministries of which Agriculture is expected to be one. There are also efforts to enhance transparency in the procurement process through the Companies Beneficial Ownership Regulation gazetted in 2022, and thereafter PPDA Circular (June 2023), where it is now mandatory for each bidder participating in public procurement to submit beneficial ownership information or shareholding information, which will have a positive impact on the sector that has various input supply (seeds and fertilizer) demands.

On resilience, currently, the government is working on several initiatives to improve the policy environment for disaster risk management and financing; and strengthen preparedness. A key reform under the ECF is the enactment of the Disaster Management Regulations (expected December 2024). Malawi is also rolling out the National Agriculture Information Management System whose objective is to improve access to agriculture information through the operationalization of an electronic data bank, dashboards, and websites to meet various users' needs. This is expected to help both beneficiary targeting in terms of input supply as well as strengthen resilience by improving data utilization and evidence-based decision-making including during disasters.

Measures to be supported by the Programme. i) Roll out of the core IFMIS functionalities to the Ministry of Agriculture which include capturing all existing contracts and commitments, including issuance of quarterly spending limits and monthly payment funding and all financial transactions entered through IFMIS, ii) The approval of the Disaster Management Regulations relevant for the agriculture sector by the Ministry of Justice; iii) Development of the farmer registration module and roll out of National Agriculture Management Information System (NAMIS), iv) Measures to support transparency and accountability in the use of public resources including procurements in the agriculture sector, and v) follow up on the implementation of Audit recommendations.

Expected programme outcomes: The Programme is expected to: i) improve efficiency, transparency, and accountability of agriculture sector spending, and ii) enhance the sector's disaster risk mitigation and climate resilience.

5.3. Policy Dialogue

5.3.1. The Bank through specialists in governance, agriculture, climate change, finance management and social development will contribute to the DP's efforts of enabling regular policy dialogue across Government departments to ensure progress on the identified policy measures including the implementation of the Seed Act, Fertilizer Act, the Irrigation Bill, the implementation of NAMIS and various Land Conservation policies. Dialogue will also focus

on relevant policies currently under development which impact on the agriculture sector including the Crops Bill, the Agriculture Input Reform Programme, and the Disaster Management regulations as relevant to build resilience of the agriculture sector and the roll out of the anchor-farms initiative. Dialogue will also focus on complementary policies that contribute to the transformation and commercialization of the agriculture sector including the Investment Promotion Act and the Special Economic Zones Act as well as the development of the Trade Policy and the Industrialization Policy. The Bank will also monitor with the IMF implementation of the ECF Programme and maintain regular dialogue on the Public Finance Management strategy including the roll out of IFMIS in the agriculture sector. The operation also serves as an avenue for dialogue on regional initiatives in the sector such as the Agriculture Compact. The PBO support will be complemented by technical assistance from the Bank's Capacity Development Institute which plans to provide policymakers with technical assistance and policy dialogue sessions on different aspects of the Public Financial Management (PFM) ecosystem. The Bank will monitor the implementation of the Programme through regular supervision missions and constant follow-ups for policy dialogue to assess progress achieved based on the agreed indicators.

5.4. Grant Conditions

5.4.1. Before the operation is presented to the Board for approval, the documentary evidence for the prior actions presented in Table 3 below would have been met with the required documentary evidence submitted to the Fund. All the prior actions and disbursement conditions are drawn from the policy matrix jointly agreed between the Government of Malawi and the Bank with input from the Development Partners, CSO and Farmers Organisation during the programme preparation and Appraisal.

Table 3: Prior Actions and Required Evidence

Prior Actions for Fulfillment before Board Presentation	**Status**	**Disbursement Conditions for the Second Tranche**
National Agriculture Policy approved by Cabinet	Completed	Seed Regulations gazetted
Agriculture Land Resources Management Policy approved by Cabinet	Completed	Fertilizer Regulations gazetted
Irrigation Bill and National Irrigation Policy approved by Cabinet	Completed	The National Agriculture Extension and Advisory Policy Approved by Cabinet
PFM Regulations gazetted	Completed	

5.5. Application of Good Practice Principles on Conditionality:

Good practice principles on conditionality have been applied. The programme seeks to implement only actions and objectives embedded in the main government strategic policy documents as well as those articulated in the policy actions designed with consultations across Government MDAs. This ensures country ownership as well as transparent monitoring and evaluation based on a coordinated PAF. The Bank has selected from the prior actions and disbursement conditions tabled by Government to ensure they are minimal, achievable and focus on critical measures.

5.6. Financing needs and arrangements

Table 1 : Projected Financing Needs[4]

Am	2023 Budget	2024 Projection
Total revenue excluding grants (A)	2,407,430.0	3,377,386.0
Total expenditure and net lending (B)	4,350,053.0	5,978,322.0
Of which: interest payments	*931,480.0*	*1,455,690.0*
Of which: capital expenditure	*1,043,431.0*	*1,770,658.0*
Overall balance (cash basis) (C=A + B)	-1,942,623.0	-2,600,936.0
External financing (net – minus Bank) (D)	682,413.0	1,387,058.0
Of which: grants (excl. AfDB/WB budget support)	*585,326.0*	*1,168,412.0*
Domestic financing (net) (E)	361,018.0	383,600.0
ECF Budget Support (F)	16,600.0	20,300.0
Other Budget Support (G)	234,400.0	161,600.0
Exceptional Financing (H)	138,300.0	510,800.0
Financing (J = D+E+F+G+H)	395.2	437.55.
Financing gap (J+C)	-53.7	-15.65

VI. PROGRAMME IMPLEMENTATION

6.1. Beneficiaries of the programme

6.1.1 The Ministries responsible for finance and agriculture are the direct beneficiaries of the Programme. However, the programme is expected to benefit all the people of Malawi, particularly those involved in the agricultural sector, as well as private sector players in the sector.

6.2 Impact on Gender, and Vulnerable Groups

6.2.1 Impact on Gender

6.2.1.1 This programme is a GEN II under the Gender Marker system of the Bank. In Malawi, agriculture is the backbone of the economy, and more than 59 percent of the labour force comprises women, predominantly engaged in subsistence farming. However, gender integration in sector programming is crucial due to deep-seated gender inequality within the society. Issues such as forced and early child marriages, teen pregnancies, and subsequent school dropouts among rural women contribute to limited education levels. Education, a critical factor in agricultural production, influences the adoption of best practices and technologies, as well as commercial engagements. Unequal power relations further exacerbate the situation, hindering women's participation in agricultural activities. Financial constraints prevent them from acquiring mechanized tools and inputs necessary for efficiency and productivity. Additionally, land ownership for commercial farming remains a significant challenge, confining many women to subsistence farming and impeding their ability to

[4] Notes: Amounts in billions of Rands. Figures based on IMF Estimates of June 2023.
The Financing Gap is expected to be filled through domestic borrowing and Government's own funds.
Assumptions Exchange rate USD/Rand =18.9
Canada to provide same amount of loans in 2023 and 2024 and AFDB, KfW and World Bank to provide half the amounts given in 2023 in 2024 ie USD 150 m AfDB, USD 500m World Bank and KfW EUR 250m. The participating partners and amounts are yet to be confirmed.

formalize agricultural activities like contract farming and irrigation due to insecure land tenure.

6.2.1.2 The MW 2063 recognizes gender as a pivotal human capital intervention, emphasizing that gender inequality detrimentally affects all sectors. To counter this, it advocates for gender transformative approaches to address power imbalances hindering women's economic empowerment. A significant obstacle lies in women's limited resources to employ additional labour on their lands due to their reproductive roles, such as pregnancy and childcare. This impedes the commercialization of their agricultural activities, posing a key challenge to women's participation in agricultural commercialization.

6.2.1.3 The adoption of the National Agriculture Policy 2024 is anticipated to bolster effective participation of women, youth, and vulnerable groups in agriculture because it incorporates strategies across priority areas to advance the empowerment of women, youth, and vulnerable groups. All the bills and policies included in this PBO have mainstreamed gender to empower women and youth. Through this PBO gender equality will be promoted. This programme will enhance the participation of women in agriculture value chains through: i) Enhancing access to land through formal registration of land certificates for women through the Ministry of Lands and relevant government structures; ii) Actions to promote access to finance for women through financial literacy and access to loans and other financial products iii) Support the formalization of women's businesses in the agriculture sector through increasing capacity in business planning, registration and management; and iv) Linkage of women with Off-Takers to guarantee and enhance their access to markets and return on investment. Identification of markets will provide help women to sell their produce efficiently, and to use their contracts as security for agribusiness loans.

6.2.2 Fragility Mitigation and Impact on vulnerable groups

6.2.2.1 Malawi is a land linked country within a dynamic Southern Africa with a smaller economy compared to its neighbours. Although the Bank does not consider Malawi a Transition State, the most recent country resilience and fragility assessment (CRFA, 2022) has identified a combination of social, environmental, political, and economic pressures. Technical Annex IX provides a comprehensive assessment. Some drivers of fragility in the country elevate vulnerabilities within the Malawian community and economy, including:

- High youth unemployment, which raises uncertainty among desperate young people.
- Climate change impacts, which have become more frequent impacting greatly to the agriculture sector.
- Unsustainable debt, which has widened gaps in public service delivery and investment into productive sector growth. The debt situation also results into low capacity for revenue mobilisation.
- Limited spending/investments to the sector through the national budget leaves the sector highly vulnerable to shocks.
- Furthermore, low complexity of production, because the country depends on the primary sector for trade and export earnings, apart from domestic consumption.

6.2.1.1 Underlying low capacity to address the indicated drivers of fragility are the high rates of poverty (above 50%) and a rising inequality situation. The agriculture sector remains

predominantly rainfed, however, rainfall pattern is erratic and largely unpredictable, and the Bank remains committed to improve resilience of the sector, through mitigation, risk financing and preparedness. The measures supported by the PBO will improve the performance of the agriculture in Malawi, as the biggest contributor to employment, where women and youth are highly represented. The project will complement national efforts in land management, which is fundamental to improved sustainability in access to and owner of land among smallholder farmers (with a potential to all incentivise access to financing). The effort in private sector engagement from a value chain approach will be important for enhanced income generation, as an incentive for farmers to produce for known market. The project also has strong complementarities in additional resource mobilisation towards addressing the key drivers of fragility, including disaster risk financing. Technical Annex IX also looks into the resilience aspects of the project.

6.3 Impact on Environment and Climate Change

6.3.1 Climate Change and Green Growth

6.3.1.1 The operation is identified as climate risk category 3 – not directly vulnerable to physical climate risks. The programme enhances the enabling environment for the implementation of climate action within the agriculture sector in alignment with the national policy framework for climate change. The agriculture sector suffers the greatest losses due to climate change impacts (with observed rising temperatures and changes in the variability of rainfall threatening the viability of rainfed agriculture)[5]. Most smallholder farmers in Malawi are resource poor with very limited capacity to contain shocks arising from climate change. Malawi is ranked 161 of 185 countries in the 2021 Notre Dame-Global Adaptation Initiative (ND-GAIN) country index, resulting from a combination of high vulnerability and low readiness - It has both a great need for investment and innovations to improve readiness and a great urgency for action.

6.3.1.2 Regarding policy and institutional readiness, Malawi is rich in climate-focused policy documents. The Nationally Determined Contribution (NDC,updated 2021) prioritizes the agriculture sector (including livestock and fisheries) as a key intervention area for both adaptation and mitigation action. Measures proposed to enhance the resilience of the sector include: drought mitigation - developing new irrigation schemes (using drip irrigation kits) & rehabilitating/modernising old schemes; drought mitigation - building adaptation capacity in climate resilient agronomic practices for smallholder farmers, promoting good agronomic practices; resilient soil - soil and water conservation and soil fertility improvement; promoting various drought-resilient water, soil and catchment conservation interventions on and off-farms. Development of a sector specific adaptation plan is identified as a strategic priority (NDC, updated 2021), but there has been limited progress thus far. In 2023 Malawi passed the Disaster Risk Management Bill which seeks to shift the focus from responding to disasters after occurrence to preparedness, reduction response and recovery. The funding requirement for mitigation action in the agriculture sector has been estimated at USD 3.6 billion and the funding requirements for adaptation measures estimated as USD 4.5 billion (figure not disaggregated by sector) through 2040. Challenges for climate/disaster finance in Malawi include insufficient funds, a limited domestic budget for the implementation of -

[5] The future climate projections indicate that Malawi is likely to experience increased incidence of dry spells/droughts and increased heat wave duration; increased incidence/risk of droughts and floods; increased/more frequent precipitation; and increased temperature. Anticipated impacts on agriculture include reduced yields of rainfed crops, shifts in the timing of planting/growing seasons, food shortages and destruction of agricultural infrastructure (e.g. due to exposure to extreme events).

actions, and the limited involvement of private sector investment in environment and climate change activities. It is anticipated that this operation will catalyse investments that are climate smart and that contribute to the implementation of NDC aligned activities. The project is aligned with the objectives of the Paris Agreement.

6.3.2 Environmental and Social Consideration

6.3.2.1 The programme was categorized and validated as Category 3 on 04 March 2024 based on the Bank's Integrated Safeguards System (ISS) and the Category is also in line with the national classification as the programme does not fall under list of projects/programmes that require ESIA because the proposed programme activities are primarily focusing on the development and formulation of agricultural policy, institutional and regulatory reform measures. Such activities will have negligible, insignificant, or minimal negative environmental and social risks. Therefore, the programme will not require E&S assessment and disclosure of ESA study documents in either the client's or at the Bank's website beyond categorization of the programme. The programme is, therefore, compliant, and ready for submission to the Board for consideration, as evidenced by the ESCON in annex.

6.4 Impact on other Areas

Economic benefits: The country is facing challenges in the agriculture sector due to a squeezed fiscal space and volatile exchange rates. This budget support will directly contribute towards addressing these challenges and will supplement ongoing efforts by other development partners. Following approval of the ECF by IMF, the World Bank has approved a DPO grant of USD 80 million and a development policy grant with a catastrophe deferred drawdown option of USD 57 million. The country will be able to draw down the latter amount in the event of any disaster. The European Union is also expected to provide budget support of about €60 million (equivalent to USD 65 million). Investment in the agriculture sector has been estimated to bring greater economic benefits than costs. Although a formal cost-benefit analysis cannot be conducted for a PBO, the estimated annual benefits of agricultural policy and institutional reform programs, including irrigation, in Senegal, Moldova, Burkina Faso, and Niger are between $5-10 million, even with total program costs of roughly $27 million. The Millennium Challenge Corporation (MCC, 2024) [6]estimates that agricultural investments in these countries generated an economic internal rate of return (EIRR) of approximately 22 percent, which was higher than the programme's economic opportunity cost of capital of 13 percent, signifying that the programme was economically viable. Moreover, the programme will help reduce the foreign exchange-denominated debt of the government, thereby reducing the servicing cost and fiscal deficit and opening up space for priority investment from the government towards agricultural transformation. Concessional financing from multilateral partners instead of domestic or commercial borrowing positively impacts interest rates, which also helps the government to reduce exposure to debt default.

6.5 Implementation, Monitoring and Evaluation

6.5.1 Implementation arrangements: The Ministry of Finance will serve as the Executing Agency with the ministry responsible for agriculture serving as the implementing agency for the Programme. The ministry responsible for agriculture will be responsible for the overall coordination of the programme and will designate a Coordinator, a Monitoring and Evaluation Officer and a Financial Management Officer for the programme from amongst the staff of the ministry, each with qualifications, skills, experience, and terms of reference acceptable

[6] https://www.mcc.gov/resources/doc/agriculture-sector-cost-benefit-analysis-guidance/#introduction

to the Fund, who will work closely with the Directorate of Debt and Aid in financial management of the budget support and with the relevant MDAs in implementation of the identified policy measures.

6.5.2 Monitoring and evaluation, and sustainability: The prior actions and disbursement conditions agreed between the Malawi authorities and the Bank, as well as the quantitative and qualitative indicators outlined in the Results-Based Framework, will constitute the instruments for monitoring and evaluation of the Programme. The Ministry of Agriculture will be responsible for collecting data and coordinating monitoring and evaluation using a harmonized system for all donors. The Ministry has adequate monitoring capacity. It has a dedicated monitoring section under the Department of Agriculture Planning Services which will be responsible for monitoring and reporting on this operation through the designated M&E Officer and Budget Support Coordinator. The section is annually funded for implementation of monitoring activities in the sector. This operation will therefore be integrated within the sections M&E Plan. Reporting timelines for this operation will be included in the financing agreement to foster adherence. The Relevant MDAs will be responsible for operationalisation of the policy measures which have been identified for implementation under the budget support with the coordination of the designated Budget Support Coordinator.

6.5.3 The Bank, through the Malawi Country Office will monitor implementation of the Programme through regular supervision joint missions with other Development Partners and constant follow-ups for policy dialogue, to assess progress achieved based on the agreed indicators and prior actions. Following completion of the operation, a Programme Completion Report (PCR) will be prepared, to evaluate progress against the Results Framework and draw lessons for future operations.

6.6 Financial Management and Disbursement and Procurement

6.6.1 Financial management, disbursement, and audit: The Directorate of Debt and Aid will be responsible for the financial management of the operation. The proceeds of the AfDB financing will be credited to the Government's consolidated fund account at the Reserve Bank of Malawi in a currency agreed with the Government of Malawi. The Government will acknowledge receipt of the funds and provide confirmation to the AfDB that the grant proceeds have been credited to the Consolidated Fund Account within thirty (30) days subsequent to the disbursement of the funds by the AfDB. The proposed operation will be subjected to a Flow of Funds audit by the National Audit Office. The flow of funds audit will be performed in accordance with Bank-approved audit Terms of Reference, and the audit report, together with the auditor's management letter, submitted to the Bank within six months after the date of disbursement of the grant. The Government of Malawi will also be required to submit the annual audit report for the consolidated government accounts for the financial years during which the financing will be disbursed. The audit report for the consolidated accounts must be submitted within nine months following the end of the related financial year.

6.6.2 Procurement: In line with the Procurement Policy for Bank Group Funded Operations, the country procurement system will be utilized for the implementation of this proposed operation. Likewise, Malawi's Borrower Procurement System (BPS) will be utilized for the implementation of the program. Considering the ongoing reforms and related mitigation measures, the updated Country Fiduciary Risk Assessment (CFRA) concluded that the residual risk attendant upon this operation is Substantial. PFM measures to be supported under this budget support will improve further the CFRA rating of the country.

VII. LEGAL DOCUMENTATION AND AUTHORITY

7.1 Legal documentation

7.1.1 The legal instrument for financing the Programme will be a Protocol of Agreement between the African Development Fund (the "Fund") and the Republic of Malawi (the "Recipient")

7.2. Conditions associated with the Bank Group intervention

7.2.1 ***Conditions Precedent to Entry into Force of the Grant Agreement****:* The Protocol of Agreement shall enter into force on the date of its signature by the Recipient and the Fund.

7.2.2 ***Prior Actions****:* Before the proposal is presented to the Board of Directors of the Fund, the Recipient shall have provided evidence, in form and substance satisfactory to the Fund, that the Prior Actions for the Programme outlined in Table 3 have been fulfilled.

7.2.3 ***Conditions Precedent to disbursement of the funds*****:**

The Fund will disburse the Grant to the Recipient in two tranches:

(a) The obligation of the Fund to make the first disbursement of Ten Million Units of Account (UA 10,000,000) shall be conditional upon the: (i) entry into force of the Protocol of Agreement; (ii) designation of a Coordinator, a Monitoring and Evaluation Officer and a Financial Management Officer for the Programme; and (ii) submission by the Recipient, of the details of a foreign currency denominated special account opened at the Central Bank of Malawi for the purpose of receiving the proceeds of the Grant.

(b) The obligation of the Fund to disburse the second tranche of Six Million Nine Hundred Forty Thousand Units of Account (UA 6,940,000) shall be conditional upon the submission by the Recipient, of evidence satisfactory to the Fund, confirming the fulfillment of the triggers to disbursement of the second tranche of the Grant outlined in Table 3.

7.3. Compliance with Bank Group Policies

7.3.1 The proposed operation complies with applicable Bank Group policies and guidelines, including the Bank Group Policy on Programme-Based Operations (PBOs), and the Operational Guidelines on the Programming, Design and Management of Program-Based Operations.

VIII. RISK MANAGEMENT

8.1. The key risks and proposed mitigation measures are presented in Annex VII.

IX. RECOMMENDATION

9.1. Management recommends that the Board of Directors of the Fund approve the award of a Grant of Sixteen Million Nine Hundred Forty Thousand Units of Account (UA

16,940,000) to the Republic of Malawi for the purposes, and subject to the terms and conditions, stipulated in this report.

ANNEX 1: LETTER OF DEVELOPMENT POLICY

Telephone: (265) 1789 355
TeleFax: (265) 1789 173
Telegram: Finance, Lilongwe
E-mail finance@finance.gov.mw

MINISTRY OF FINANCE
AND ECONOMIC AFFAIRS
CAPITAL HILL,
P.O. BOX 30049,
LILONGWE 3
MALAWI.

Ref. No. FIN/DAD/RM/5/2/1/1 **25th April 2024**

Dr. Akinwumi A. Adesina
The President
African Development Bank Group
Avenue Joseph Anoma
01 BP 1387 Abidjan 01
Cote d'Ivoire

Dear Dr. Adesina

RE: LETTER OF DEVELOPMENT POLICY

On behalf of the Government of Malawi (GoM), I am writing to request the African Development Bank to provide us with support through Programme Based Operation/Budget Support to the amount of United States Dollars Twenty-Two Million (USD22,000,000.00) to assist our country undertake interventions and reforms aimed at transformation and commercialization of the Agriculture Sector. The letter speaks to the development efforts of Malawi and is structured along four areas i) Overall development agenda ii) Enhancing macro-economic stability iii) Agriculture Sector Transformation iv) Governance and Public Finance Management (PFM).

Overall Development Agenda

Malawi Vision 2063 provides the long-term goal of the country, namely, *transforming Malawi into a wealthy and self-reliant industrialized 'upper-*

middle-income country'. Vision 2063 identified three key pillars as part of the efforts towards achieving the goal and in that process respond to the challenges that militate against structural transformation. These pillars are: (i) *Agriculture Productivity and Commercialisation, (ii) Industrialisation and (iii) Urbanisation.* Seven enablers of the three pillars are Mindset Change; Effective Governance System; Public Sector Performance; Private Sector Dynamism; Human Capital Development; Economic Infrastructure; and Environmental Sustainability.

Implementation of the long-term vision of the country is done through the Malawi's 10-Year Implementation Plans (MIP), of which the First 10-Year (2021-2030) Program (MIP-1) is in its fourth year of implementation. Annual Government budgets are the instruments used to operationalize the MIP. The 2024/2025 Government Budget is the fourth budget in the implementation of Malawi's First 10-Year (2021-2030) Program (MIP-1). MIP-1 envisages an average annual growth of 6%, which would enable the country to achieve a lower middle-income status by 2030.

Macro-Economic Stability

The Government of Malawi has made significant progress in its macroeconomic adjustment and reform implementation, despite a challenging domestic and external environment. In November 2023, the GoM successfully concluded negotiations with the IMF Extended Credit Facility (ECF) agreement for an amount of USD175 with a reform package whose broad objective is to restore a stable and sustainable macroeconomic position consistent with strong and durable poverty reduction and growth. The programme includes calls for continuity in implementation of prudent fiscal consolidation measures to remain on track in terms of maintaining debt sustainability. The specific objectives of the Programme include: i) restoring macroeconomic stability, (ii) enhancing fiscal discipline, (iii) maintaining price stability and financial soundness, (iv) rebuilding external buffers, (v) restoring debt sustainability and closing the financing gap, and (vi) addressing weaknesses in governance including addressing corruption and strengthening transparency and accountability in public procurement. Progress is

steadily being made in several areas including the adopting a more flexible exchange rate policy and roll out and implementation of the Integrated Finance Management Information System (IFMIS) at all core Ministries.

Ongoing debt restructuring negotiations, if successful, will reduce debt to sustainable levels. Increased inflows of donor resources following the approval of the IMF Extended Credit Facility in late 2023 are likely to reduce the foreign currency squeeze. The FY2023/24 budget **was delivered** aligned with the macroeconomic adjustment path required for stabilizing the economy, underpinned by a combination of enhanced domestic revenue mobilization and expenditure rationalization, to reduce the pressure on domestic borrowing and public debt. The GoM is committed to implement the FY2024/25 budget in line with the macroeconomic framework, themed: *"From economic recovery to resilience through accelerating production and enhancing the legal and regulatory environment to protect the economy"*, the budget builds on President Lazarus Chakwera's 9 February 2024, State of the Nation Address titled *Taking Stock and Advantage of our Progress in Achieving Economic Recovery and Resilience*. The budget is presented as a departure from the past consumption focused to a production-focused budget.

Overall, the 2024/2025 budget expenditure target is K5.98 trillion (31.9% of GDP), allocates 30% of expenditures to the development budget, targets revenue of 24.3% of GDP (18.1% of which will be domestic revenue) and aims to reduce the fiscal deficit to 7.6% of GDP compared to the projected outturn of 8.9% of GDP in the 2023/2024 budget through fiscal consolidation. Fiscal consolidation forms part of the government's plan to address the debt crisis and ensure debt sustainability in the medium term, while also paying attention to the achievement of macroeconomic stability. The agriculture sector allocation of MWK497.75 billion, representing 8.3% of the total budget, which is the third largest allocation and focusing on investing in irrigation infrastructure and mega farms. These investments are meant to

enhance productivity through large farm operations that allow the use of mechanized equipment, and new farming systems and technologies.

Agriculture

Agriculture remains the mainstay of the economy, contributing close to a quarter of the country's Gross Domestic Product (GDP) and employing about 64 percent of the labor force, with about 59 percent women representation. More than 80 percent of the country's population relies on rain-fed smallholder agriculture for food. Production and productivity of the sector has, however, remained below its potential and insufficient to match the increasing demand from both domestic and export markets. The capacity to address vulnerabilities related to economic, social and climate shocks which require building requisite capacities for resilience to foster long-term sustainable development is urgently needed. Several factors have contributed to the failure of agriculture to realize its potential, including: low irrigation development, climate change effects, limited access to land; unsustainable natural resource use, limited access to farm inputs; low mechanization; poor land management practices; poor access to finance; weak linkages to markets; high dependence on few crops, especially tobacco for export earnings; limited value addition, increasingly fragmented land tenure system; and limited investment in agricultural research and extension service.

To operationalize the country's vision on agricultural productivity and commercialization, the Malawi Implementation Plan (MIP)-1 identifies seven focus areas namely: Agricultural diversification, irrigation development, anchor farms, agricultural input access, agricultural mechanization, structured markets and agriculture research, innovation, and dissemination. The National Agriculture Policy (NAP), currently under review, further emphasizes commercialization to promote sustained growth. To operationalize the NAP, the government formulated the National Agriculture Investment Plan (NAIP) with the objective of diversifying the agriculture sector and enhancing its resilience.

The NAIP is pivotal in guiding investments in Malawi's agriculture sector, whilst ensuring that the investments are aligned to the NAP. This investment framework aimed to harmonize agricultural investments, fostering the transformation of key value chains to enhance food security, reduce poverty, and boost income and export earnings. The framework identified four core programs as follows: i) Policies, Institutions, and Coordination; ii) Resilient Livelihoods and Agriculture Systems; iii) Production and Productivity for Growth; and iv) Markets, Value Addition, Trade, and Finance. Following the Feed Africa Dakar 2 Summit, the Sector developed a Country Agriculture Compact. The compact identifies Maize, Rice, Soybean, Groundnuts, Cotton, Macadamia, and Bananas as priority crops. The compact also identifies livestock production as a priority value chain.

In line with the agriculture commercialization drive, the Government is embarking on several reforms supported by the Programme to enhance the agricultural productivity, improve the regulatory framework and catalyse private sector investment in the sector, improve agricultural produce marketing, enhance export base diversification, value addition and build the resilience of the sector to climate change. Specifically, the budget facility will support finalization and operationalization of the NAP, which is the overarching policy framework for the agriculture sector, National Irrigation Policy, National Land Resources Management Policy, National Agricultural Extension and Advisory Policy, National Trade Policy, and National Industrialisation Policy. Furthermore, the budget facility will strengthen the legislative framework by supporting development and operationalization of the Irrigation Bill, Seed Regulations, Fertilizer Regulations, Investment and Export Promotion Regulations, Special Economic Zones Regulations, and Agriculture Sector Disaster Risk Management Regulations.

Strengthening PFM and Accountability

As noted above Implementation of the new IFMIS, institutionalizing reporting and controls are key for execution of the budget and commitment control is underway. This is being utilized to enable future

Public Finance Management (PFM) reforms, including the interim Electronic Funds Transfer (EFT) for government payments, to improve our budget preparation, cash management, commitment control, banking arrangements, accountability, and payment efficiency.

The GoM passed the new PFM Act in March 2022 to align the legal framework with ongoing PFM reforms. The implementation of the Act is a critical success factor for improvements envisaged under the PFM reforms strategy (2023-2028). In December 2023, GoM issued the first set of regulations. Work is ongoing to finalize other sets of regulations, the Treasury Instructions, and the Desk Manuals. GoM is also taking steps to tackle corruption and enhance accountability. A follow up report on the corrective measures following the A National Audit Investigative Report of March 2021 noted procurement irregularities on expenditure relating to the use of COVID 19 funds investigative report has been published. The report details key remedial measures to avoid recurrence of the abuse of funds including amongst others the review of the PPDA Act to provide for declaration of beneficial ownership in the bidding process and to address the anti-competitive practices by bidders in the procurement process, requiring all payments across Government MDA to be done exclusively through EFT. Government has also operationalized the Financial Crimes Court to fast- track prosecution of financial related crimes.

Conclusion

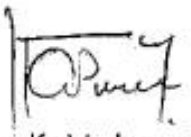
Given the tight fiscal space and foreign exchange challenges the country is currently experiencing, implementation of reforms to restore the macroeconomic stability and debt sustainability is fundamental, and the agriculture sector has a pivotal role in transforming Malawi's economy. Your support as the African Development Bank is, therefore, critical to contribute to tackling the development challenges that the country is currently faced with. As the country, has just commenced the 2024/25 fiscal year, the budget support will significantly contribute

towards addressing the fiscal gap and support implementation of the reforms in the agriculture sector.

With your valued partnership, the GoM has committed itself to stay on course and implement these critical reforms in the agriculture sector, while endeavoring to achieve international commitments on climate change and boosting the resilience of our economy, protecting livelihoods and eradicating poverty.

Please, Your Excellency, accept the assurance of my highest consideration.

Yours sincerely,



Henry K. Mphasa
For SECRETARY TO THE TREASURY

CC: **Mr. Macmillan ANYANWU**
Country Manager COMW

ANNEX II: RISKS AND MITIGATION[7]

Risk Category	Description of Risk	Probability/ Impact	Mitigation measure	Risk Owner
1.Macro-economic risk	Malawi's overall economic growth remains volatile and has shifted to a lower growth trajectory. In the last four years, the country was hit by the COVID-19, devastating climate change-related weather events that have occurred every year, and geo-political crises. The main risks to the economic outlook are a failure to resolve the debt crisis, the negative effects of climate change and continued shortages of foreign currency.	High/High	In November 2023 the IMF Board approved a Staff Monitored Extended Credit Facility for Malawi (ECF) that aims to support the government's commitment to economic reforms that are designed to jumpstart inclusive and sustainable growth underpinned by several reform areas. Restoring macroeconomic stability, building a foundation for inclusive and sustainable growth (including strengthening resilience to climate-related shocks), and addressing weaknesses in governance and institutions. Fiscal policy will aim at achieving a debt stabilizing primary balance in the medium-term through a package of expenditure adjustment and revenue mobilization measures. The authorities are committed to fiscal discipline, containing domestic borrowing, and improving public financial management (PFM). Monetary policy will be anchored on containing money growth with the aim of taming inflation through sustaining positive real interest rates. External sector policies will focus on rebuilding international reserves, reducing shortages of foreign exchange, and facilitating a market	Government

[7] This being a PBO using country systems and where the eligibility criteria for use of PBO is fully met, only the direct risks for this operation.

			determined exchange rate.	
2. Political Economy and Impact on Reform Implementation	Elections are planned for September 2025. The momentum of reforms may wane or reprioritization happen as the country get into the elections.	Medium/ High	The Programme is planned for FY 2024/25 and expected to conclude and not be impacted by the elections. It is also anchored on the Malawi Long term vision and the policy trajectory situating agricultural transformation at the center of Malawi's development aspirations not expected to change.	Government
3. Social Impacts and Inclusion	The agriculture reforms supported may negatively impact on poor communities and livelihoods since the private sector may not apply similar social safeguards and incentives	High/High	Government has put in place several measures to ensure that the poor and vulnerable are not negatively impacted by the reforms. The policy dialogue around the programme will focus on the need to maintain to ensure that the operation does no harm the poor and the vulnerable.	Government/DPs
4. Fiduciary Risk	**Fiduciary risks:** The updated Country Fiduciary Risk Assessment (CFRA) conducted by the Bank for this operation has rated the Fiduciary risk as substantial however, despite reforms, there continue to be reported instances of abuse of public funds	Substantial	Key reforms are underway under the new PFMA as well as under the ECF. Scrutiny of the joint reporting system for this programme will be important. Authorities have also undertook and have since submitted all outstanding Audits prior to submission of the operation to Board.	Government

ANNEX III: MALAWI'S ENGAGEMENT WITH THE IMF

IMF Executive Board Discussed the Second Review Under Malawi's Staff Monitored Program with Executive Board Involvement and Approved A 48-Month Arrangement Under the Extended Credit Facility CECF)

November 15, 2023

According to a Press Release from the IMF dated 15th November 2023, The Executive Board of the International Monetary Fund (IMF) discussed the Second (and last) Review of the Staff-Monitored Program with Executive Board Involvement (PMB) and approved a 48-month arrangement under the Extended Credit Facility (ECF) for Malawi in an amount equivalent to SDR131.86 million (about US$175 million), with an immediate disbursement of SDR26.37 million (about US$35 million).

Malawi has struggled to sustain growth for decades despite large inflows of official development assistance. The past three years have been particularly difficult with stagnating growth and widening macroeconomic imbalances due to unsustainable debt and the effects of multiple shocks, including an outbreak of cholera and cyclone Freddy this year alone.

Malawi's external debt is unsustainable and debt service needs are eroding limited fiscal space. Despite sizeable external emergency financing, the large fiscal budget deficit necessitated domestic financing. This has been addressed in large part through monetary financing, putting pressure on the exchange rate and increasing the rate of inflation.

The ECF arrangement aims to support the authorities' commitment to restore macroeconomic stability, build a foundation for inclusive and sustainable growth, including to strengthen resilience to climate-related shocks, and address weaknesses in governance and institutions. The arrangement is also expected to catalyze grant financing and capital inflows including foreign direct investment and trade credit.

Main policy commitments.

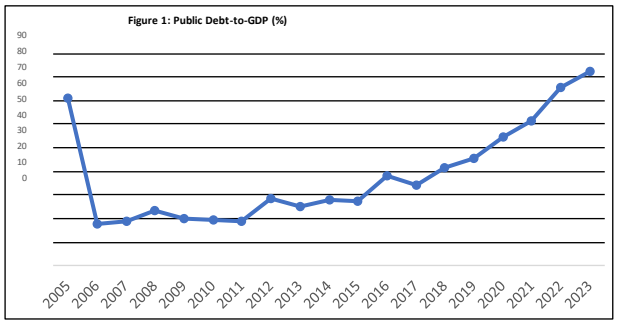
- **Macroeconomic Stability** will aim at building a foundation for inclusive and sustainable growth (including strengthening resilience to climate-related shocks) and addressing weaknesses in governance and institutions.
- **Fiscal policy** will aim at achieving a debt-stabilizing primary balance in the medium-term through a package of expenditure adjustment and revenue mobilization measures. The authorities committed to fiscal discipline, containing domestic borrowing, and improving public financial management (PFM).
- **Monetary policy** will remain anchored on containing money growth. It will aim to tame inflation by ensuring positive real interest rates. External sector policies will focus on rebuilding international reserves, reducing shortages of foreign exchange, and facilitating a market-determined exchange rate.

The review of the Program is slated for mid-2024.

ANNEX IV: MALAWI PUBLIC DEBT

1. Public Debt Dynamics and Sustainability

1.1 Malawi is facing its worst debt crisis since 2005. At the Heavily Indebted Poor Countries (HIPC) Initiative completion point in 2006, Malawi's debt-to-GDP ratio dropped from 70.93% to less than 18% and remained below 20% until 2011 before recording a huge increase to 28.46% in 2012. Several low-income debt sustainability thresholds were breached in 2016. Since 2019, Malawi's debt-to-GDP ratio has doubled from about 41% to the current 82.1% in 2023 (Figure 1).



1.2 Compared to 2022, public debt rose by 5.6%. External public debt service accounted for 46.9% of revenues excluding grants and 58.1% of total exports. In the 2023/24 fiscal year (FY), interest payments on total public debt account for 5.6% of total public expenditure compared to 4.9% in the previous year. Malawi's current debt ratios are far above the recommended ceilings – debt-to-GDP ratio (30%), external debt-to-revenue ratio (14%), and external debt service-to-exports ratio (10%) (Figure 1). Thus, Malawi's external and public debt is in distress. The ongoing debt restructuring negotiations, which form part of the approved International Monetary Fund's (IMF) 4-year Extended Credit Facility (ECF) program amounting to USD 175 million are progressing well, although protracted. Currently, the focus is on increasing the tenure of existing debt and a possible reduction in the interest costs. Should the recommendations from the IMF be acceptable to all creditors, Malawi will be able to achieve medium-term debt sustainability.

2. Drivers of the Debt Crisis

2.1 Large increases in debt accumulation are associated with exogenous and endogenous shocks, including the 2008 global financial crisis and 2012 Cashgate[8] scandal. Since 2016 successive adverse climate and the COVID-19 pandemic related shocks have buffeted Malawi. Weather-related events - drought, floods, and landslides - have increased in frequency and intensity and affect millions of people each year. This has resulted in rising fiscal deficits, one of the major sources of increasing debt in the country. In addition, declining terms of trade, shortages of foreign currency and elevated inflation have negatively impacted economic growth thereby affecting the country's capacity to generate revenue at a time when expenditures were increasing.

[8] The Cashgate scandal involved looting, theft and corruption by government officials and was discovered in 2013.

2.2 Notably, Malawi's dependence on agriculture, given the climate shocks, increases its vulnerability to weather and trade shocks. About 80% of export earnings are agro-based, of which tobacco generates 60% of total export receipts. Moreover, the 2022 and 2023 devaluations of the Malawi Kwacha contributed to large increases in debt. Over the past five years, the major changes in debt have been driven by the primary deficit, real GDP growth, exchange rate depreciation and interest rates. The residual, comprising of the unidentified debt creating flows, is also a major determinant of debt.

2.3 Public responses to shocks are less likely to be associated with infrastructure investments or resilience building. Shocks to the economy raise financing needs as emergency funding becomes inevitable. Most of the increases in fiscal deficits during mid-year budget revisions have been allocated to recurrent expenditures while the capital budgets were reviewed downwards. This, however, does not negate the relatively high capital expenditure budget allocations of more than 22% since 2022.

3. Debt Structure

3.1 Using the 2023 data, the country's total debt is USD7.6 billion. Multilateral and bilateral creditors are owed USD2.8 billion (37.6%) and USD382 million (5%), respectively. Malawi's commercial debt amounts to USD431 million (5.7%), the major creditors being the African Export-Import Bank and Trade and Development Bank. Of the USD3.9 billion in domestic debt, USD325 million (4.3%) is collateralized debt (Table 1). The government's recourse to high-cost domestic borrowing given the country's limited access to external credit to meet its financing needs have pushed domestic debt upwards. Rising domestic interest costs have not only increased the fiscal burden, but also tightened liquidity on the domestic market. As of 16 February 2024, yields on 91-day and 10-year paper were 15.88% and 35%, respectively compared to 9.82% and 22.98%, respectively on the same date in 2022. Moreover, high public domestic debt and the associated rising interests crowd-out the private sector and reduces economic growth.

Table 1: Debt Structure

	Actual		Projections	
	2022	**2023**	**2024**	**2025**
Total Debt	**8669**	**7577**	**7619**	**8003**
External Debt	**4006**	**3660**	**3575**	**3616**
Multilateral creditors	2558	2846	2956	3141
IMF	437	443	430	420
World Bank	1317	1480	1592	1727
AfDB	431	431	435	439
Other	372	492	499	555
Bilateral Creditors	418	382	350	315
Paris Club	4	1	1	1
Non-Paris Club	414	381	349	314
Commercial creditors	1030	431	269	160
Domestic Debt	**4693**	**3917**	**4044**	**4387**
Memorandum Items:				
Collateralized debt	503	325	194	100

Source: Compiled by AfDB using IMF and Government of Malawi Reports

4. Public Debt Management

4.1 The Debt Management Strategy (2018-2022) expired, and a new strategy is not yet in place. The Government is currently working on a Debt Management Policy that will underpin the new strategy. There are risks to the debt trajectory, including slow recovery in economic growth due to exogenous shocks, and failure to sustain the reforms under the IMF Extended credit Facility program before and after the elections in 2025.

5. Policy Recommendations

5.1 Malawi is currently engaged in debt restructuring negotiations, which are coordinated under the G20 Common Framework. These ongoing negotiations are promising and should they succeed, Malawi's debt sustainability will improve significantly. Under the baseline conditions sustainable levels can only be attained by 2033. A challenging aspect of the Common Framework is the need to have multiple creditors agree on debt treatment that ensures equal burden sharing.

5.2 Addressing Malawi's debt challenge requires a multi-pronged approach. Debt restructuring alone will note provide debt sustainability. At the policy front, achieving macroeconomic stability is critical. As indicated above, the current debt creating flows can be addressed through prudent policy decisions to avoid overvaluation of the currency, high fiscal deficits, elevated inflation, and low growth of the economy. Moreover, Malawi needs to enhance its debt management capacity through an improved public finance management system, including institutions and skills in debt management. Diversification of the economy will also improve Malawi's economic resilience to external shocks and declining terms of trade. In addition, tapping into the global climate financing options, especially carbon trading, could reduce debt creation financial flows.

5.3 The African Development Bank has an important role in addressing Malawi's debt crisis within the context of the IMF Extended Credit Facility program. At the institutional level, the Bank could unleash its internal capacity to assist Malawi build its public finance and debt management capacity as expressed in the Capacity Development Strategy (2021-2025), and the Strategy for Economic Governance in Africa (2021–25). The Bank is already playing its role in limiting the debt crisis through providing grant financing only to Malawi, including the use of fast disbursing instruments to enhance foreign currency availability.

ANNEX V: MAP OF MALAWI



Disclaimer: The African Development Bank or its Board of Directors does not endorse or take any responsibility on the borders or names shown on the map.

ANNEX VI: ESCON

ENVIRONMENTAL AND SOCIAL COMPLIANCE NOTE (ESCON)

AFRICAN DEVELOPPEMENT BANK GROUP

A. Basic Information[9]

Project Title: Agriculture Sector Transformation PBO: Agricultural Productivity and Commercialization Programme (APCP)		**Project SAP code:** P-MW-AA0-040
Country: Malawi	**Lending Instrument**[10]: DI ☐ FI ☐ CL ☐ BS ☒ GU ☐ RPA ☐ EF ☐ RBF ☐	
Project Sector: Agriculture	**Task Team Leader**: Doreen Kumwenda	
Appraisal date: 16 – 19 April, 2024	**Estimated Approval Date**: 22 MAY 2024	
Environmental Safeguards Officer: Chimwemwe Roberta MHANGO/Mequanint Tenaw ASRES		
Social Safeguards Officer: XX		
Environmental and Social Category: 3	**Date of categorization**: 04.03.2024	**Operation type**: SO☐ NSO☐ PBO☒
Is this project processed under rapid responses to crises and emergencies?		Yes ☐ No ☒
Is this project processed under a waiver to the Integrated Safeguards System?		Yes ☐ No ☒

B. Disclosure and Compliance Monitoring

B.1 Mandatory disclosure

Environmental Assessment/Audit/System/Others (specify): N/A	
Was/Were the document (s) disclosed ***prior to appraisal?***	Yes ☐ No ☐ NA ☒
Date of "in-country" disclosure by the borrower/client	N/A
Date of receipt, by the Bank, of the authorization to disclose	N/A
Date of disclosure by the Bank	N/A
Resettlement Action Plan/Framework/Others (specify:) N/A	
Was/Were the document (s) disclosed ***prior to appraisal?***	Yes ☐ No ☐ NA ☒
Date of "in-country" disclosure by the borrower/client	N/A
Date of receipt, by the Bank, of the authorization to disclose	N/A
Date of disclosure by the Bank	N/A
Vulnerable Peoples Plan/Framework: NA	
Was the document disclosed ***prior to appraisal?***	Yes ☐ No ☐ NA ☒
Date of "in-country" disclosure by the borrower/client	[Date]
Date of receipt, by the Bank, of the authorization to disclose	[Date]
Date of disclosure by the Bank	[Date]
If in-country disclosure of any of the above documents is not expected, as per the country's legislation, please explain why: NA.	

B.2. Compliance monitoring indicators

Have satisfactory calendar, budget and clear institutional responsibilities been prepared for the implementation of measures related to safeguard policies?	Yes ☐ No ☐ NA ☒
Have costs related to environmental and social measures, including for the running of the grievance redress mechanism, been included in the project cost?	Yes ☐ No ☐ NA ☒
Is the total amount for the full implementation for the Resettlement of affected people, **as integrated in the project costs**, ***effectively mobilized and secured***?	Yes ☐ No ☐ NA ☒
Does the Monitoring and Evaluation system of the project include the monitoring of safeguard impacts and measures related to safeguard policies?	Yes ☐ No ☐ NA ☒
Have satisfactory implementation arrangements been agreed with the borrower and the same been adequately reflected in the project legal documents?	Yes ☐ No ☐ NA ☒

A. Clearance

Is the project compliant to the Bank's environmental and social safeguards requirements, and to be submitted to the Board? Yes ☒ No ☐

Prepared by:	***Name***	***Signature***	***Date***
Environmental Safeguards Officer:	Chimwemwe Roberta MHANGO/ Mequanint Tenaw ASRES		11/03/2024
Social Safeguards Officer:	XXX		
Task Team Leader:	Doreen KUMWENDA		17/04/2024
Submitted by:			
Sector Director:	Martin FREGENE		23/04/2024
Cleared by:			
Director SNSC:	Maman-Sani ISSA		23/04/2024

[9] **Note**: *This ESCON shall be appended to project appraisal reports/documents before Senior Management and/or Board approvals.*

[10] **DI**=Direct Investment; **FI**=Financial Intermediary; **CL**=Corporate Loan; **BS**=Budget Support; **GU**=Guarantee; **RPA**=Risk Participation Agreement; **EF**=Equity Financing; **RBF**=Results Based Financing.

ANNEX VII: POLICY MATRIX

PRIOR ACTIONS, DISBURSEMENT AND POLICY MEASURES	TIMELINE	RESPONSIBLE	MEANS OF VERIFICATION/ EVIDENCE
A. Prior Actions			
National Agriculture Policy approved by Cabinet	Completed	Ministry of Agriculture	Cabinet Directive and the Policy
National Land Resource Management Policy approved by Cabinet	Completed	Ministry of Agriculture	Cabinet Directive and the Policy
Irrigation Bill and Policy approved by Cabinet	Completed	Ministry of Agriculture	Cabinet Directive and the Policy
PFM Regulations Gazetted	Completed	Ministry of Finance and Economic Affairs	Copy of the Gazette Notice
B. Disbursement Conditions			
National Agriculture Extension Policy approved by Cabinet	September 30,2024	Ministry of Agriculture	Cabinet Directive and the Policy
Seed regulations gazetted	September 30, 2024	Min of Agriculture	Copy of the Gazette Notice
Fertilizer regulations gazetted	September 30,2023	Ministry of Agriculture	Copy of the Gazette Notice
C. Other Policy Measures for Continued Dialogue with Government			
Investment Promotion Bill Passed by Parliament	Completed	Ministry of Trade	Copy of the Act/Gazette Notice
Special Economic Zones Bill Passed by Parliament	Completed	Ministry of Trade	Copy of the Act/Gazette Notice
Submit the Covid 19 Funds Flow Audit Report	Completed	Ministry of Finance and Economic Affairs	Copy of Audit Report
Government confirms the roll out of the core IFMIS functionalities to the Ministry of Agriculture which include capturing all existing contracts and commitments, ii) issuance of quarterly spending limits and monthly payment funding and that all financial transactions are entered through IFMIS	Completed	Ministry of Finance and Economic Affairs	Copy of the Gazette Notice
Government publishes a follow up audit report detailing the corrective actions to remedy the recommendations to respond to the investigative report finding	Completed	Ministry of Finance and Economic Affairs	Copy of published follow up report

PRIOR ACTIONS, DISBURSEMENT AND POLICY MEASURES	TIMELINE	RESPONSIBLE	MEANS OF VERIFICATION/ EVIDENCE
Government to confirm that the PPDA has made provision for declaration of beneficial ownership in the bidding process for all contracts including Agriculture sector procurements.	Completed	Ministry of Finance and Economic Affairs	Copy of the instruction circular
National Industrialisation Policy approved by Cabinet	September 30, 2025	Ministry of Trade	Cabinet Directive and the Policy
Upscale of the National Agriculture Information Management System (NAMIS) to all 31 agriculture districts	September 30, 2024	Ministry of Agriculture	Progress report from the Ministry of Agriculture
IT IFMIS functionality audit undertaken with agriculture as one of the pilot ministries	March 30, 2025	Ministry of Finance and Economic Affairs	Audit report submitted to the Bank
National Trade Policy approved by Cabinet	March 30, 2025	Ministry of Trade	Cabinet Directive and the Policy
Special Economic Zones Regulations relevant for agricultural commercialisation and private sector investment catalysation developed.	March 30, 2025	Ministry of Trade	Copy of the Gazette Notice
Investment and Export Promotion Regulations relevant for agricultural trade and commercialisation developed	March 30, 2025	Ministry of Trade	Copy of the Gazette Notice
Disaster Risk Management Regulations for the Agriculture Sector Gazetted	March 30, 2025	Department of Disaster Management Affairs	Copy of the Gazette Notice
Treasury Instructions for the PFMA issued	March 30, 2025	Ministry of Finance and Economic Affairs	Copy of the Treasury Instruction